



"Progress lies not in enhancing what is,
but in advancing toward what we'll become."

- Kahlil Gibran



Board of Directors



K. V. Aiyappan
Chairman



M. G. Ved
Director



Satish Menon
Director

MANAGEMENT TEAM

P A Ananthanarayanan
Group Chief Executive Officer

Shankar Velayudhan
Group Chief Technology Officer

Philip Mammen
Group Head - Human Resources

T M Suryanarayana
Head - SAP Practice

Deepak Chowdhry
Executive Vice President- Consulting



**GROUP CHIEF EXECUTIVE OFFICER
AND MANAGER**

P. A. Ananthanarayanan

**COMPANY SECRETARY AND COMPLIANCE
OFFICER**

P. Vidya Sagar

FINANCE CONTROLLER

Subrata Nag

REGISTERED OFFICE

501, Cyber Park
Electronics City - 1
Bangalore 560 100

BANKERS

UTI Bank Ltd.

AUDITORS

Deloitte Haskins & Sells
Chartered Accountants

REGISTRARS AND SHARE TRANSFER AGENTS

Mondkar Computers Private Limited
21, Shakil Niwas, Mahakali Caves Road
Andheri (East), Mumbai 400 093

SOFTWARE DEVELOPMENT CENTRES

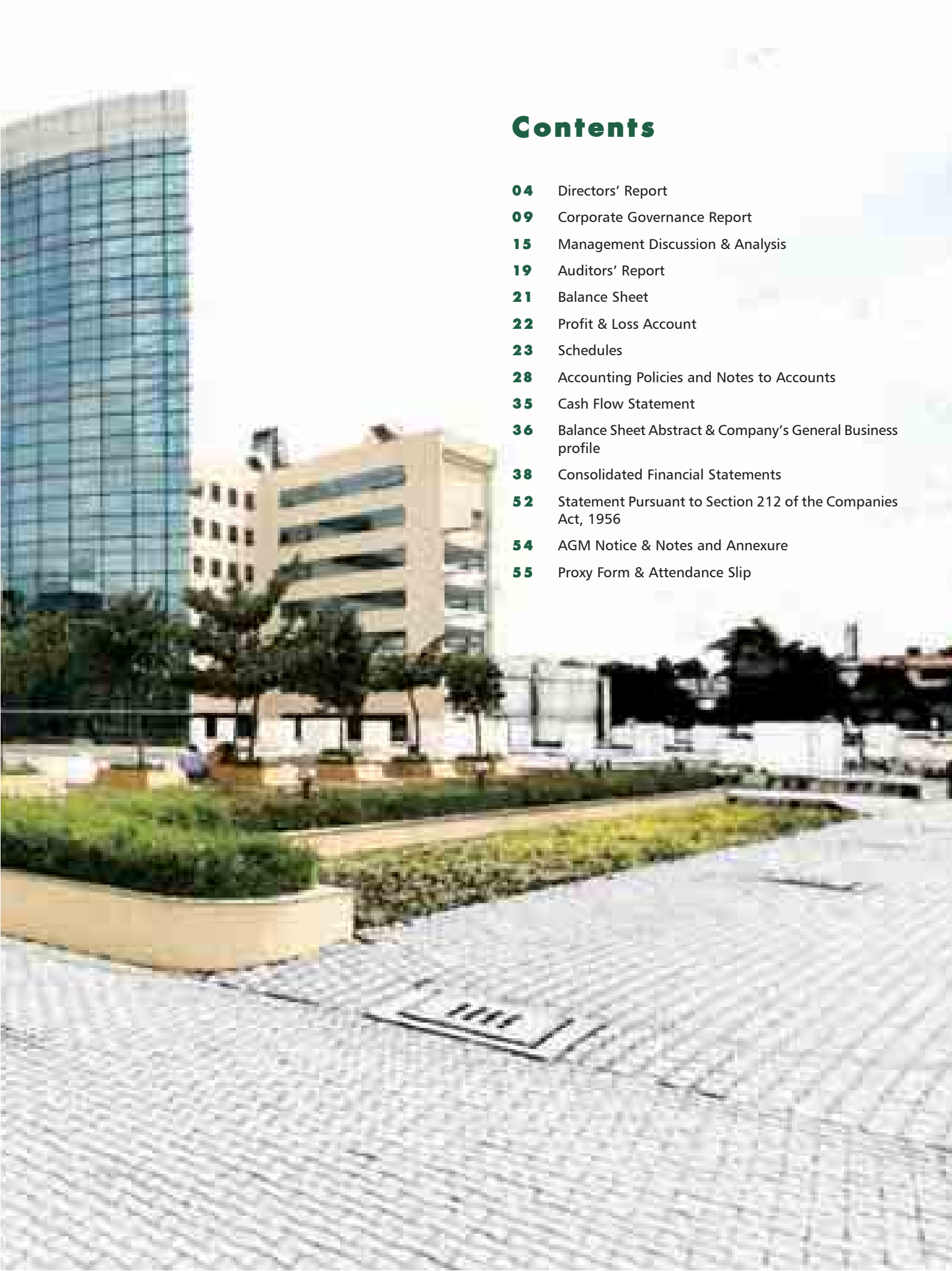
Bangalore:

501, Cyber Park, Electronics City - 1
Bangalore 560 100

Kolkata :

Millennium City Information Technology Park,
Unit:T-2 9C, Tower II, Level IX, Plot No: 62,
Block DN, Sector V, Salt Lake, Kolkata - 700091
Telephone: (33) 2367-4337/8
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DIRECTORS' REPORT

To,
The Shareholders,
Mindteck (India) Limited

Your Directors are pleased to present the FIFTEENTH ANNUAL REPORT of your company along with the audited Statement of Accounts for the financial year ended March 31, 2006.

FINANCIAL RESULTS

	Year ended March 31, 2006	Year ended March 31, 2005
Operating income	194.79	114.93
Operating profit (PBITD)	23.54	12.80
Interest	3.83	2.11
Depreciation	8.70	6.57
Operating profit after interest and depreciation	11.01	4.12
Other income	12.38	4.78
Profit before tax	23.39	8.90
Provision for tax	1.70	0.42
Net profit after tax	21.69	8.48
Earnings per share	2.23	0.87

RESULTS OF OPERATIONS

During the year under review, your company recorded revenues of Rs. 194.79 million, compared to Rs. 114.93 million in the previous financial year, a growth rate of 69 %. The operating profit for the current year stands at Rs. 23.54 million as against the operating profit of Rs.12.80 million for the previous financial year. The net profit for the year stands at Rs. 21.69 million as compared to a net profit of Rs. 8.48 million in the previous year representing an increase of 156%.

DIVIDEND

We are pleased to recommend a dividend of Rs. 1/- per equity share (10 % on par value of Rs. 10/-), subject to approval by the shareholders in the forthcoming Annual General Meeting.

BUSINESS

During the year, the fundamental economic performance of your Company's business has improved. While consolidating the gains of the past year, your company has chosen to strengthen its competitive position by expanding its solution set as well as expanding its business geographically.

The embedded systems group has proven its newly acquired capability in the wireless market. As a member of

the ZigBee Alliance, your Company today provides ZigBee Stack development services as well as application development services. During the year, your company also established a SAP Competency Center in Bangalore that focuses on providing SAP implementation and support services across a range of industries. Your company also established its presence in Malaysia to tap into the fast growing markets in the Far East.

To accommodate the growth in business, your Company has leased 50,000 sq.ft. of office space in Electronics City, Bangalore.

QUALITY

During the year, your Company's Quality Management System was recertified to be compliant with ISO 9000: 2000. In pursuit of excellence, your Company intends to upgrade its quality processes to CMMi Level 5.

During the year, your Company's information security systems have also been certified as compliant with BS 7799.

SUBSIDIARIES

Your Company's strategy is to consolidate all operating fellow subsidiary companies under Mindteck (India) Limited. In pursuit of this strategy, your Company took the following steps during the year under review:

The Company's wholly owned subsidiary in the US, Mindteck Consulting Inc. acquired and merged into itself effective April 1, 2005, Mindteck (USA) Inc., a company wholly owned by Business Holdings Ltd., an intermediary holding company. Subsequently, the merged entity was renamed as Mindteck USA Inc.(MUI)

The Company's other wholly owned subsidiary in the US, Mindteck Systems Inc. was merged with MUI effective March 31, 2006. During the year, MUI generated revenues of Rs. 393.20 million (US \$ 8.93 million) and a net profit of Rs. 14.32 million (US \$ 0.33 million).

On July 12, 2005 the Company acquired 100% of the equity of Mindteck Middle-East Ltd. SoC, (MME), a Company wholly owned by Business Holdings Ltd. During the year, MME achieved revenues of Rs. 5.58 million.

On December 22, 2005, the Company incorporated a wholly owned subsidiary in Malaysia, Mindteck Software Malaysia SDN BHD. The value of the investment as on March 31, 2006 stands at Rs. 3.01 million.

During the year, the Company has also incorporated a new wholly owned subsidiary, Mindteck BPO Services Pvt. Ltd. with an initial paid up capital of Rs. 0.50 million.

As on March 31 2006, your Company has four wholly owned subsidiaries in all - Mindteck USA Inc. in the United States, Mindteck Middle-East Ltd SoC in Bahrain, Mindteck Software Malaysia SDN BHD in Malaysia and Mindteck BPO Services Private Limited in India.

Section 212 of the Companies Act, 1956 requires your Company to attach the Directors' Report, Balance Sheet, P&L Account of these subsidiaries to the Companies annual report. Your company had applied to the Government of India for an exemption from this requirement as the audited consolidated financial statements are presented in the annual report. The Government has granted exemption from complying with sec. 212.

Mindteck BPO Services Private Limited was incorporated on February 21, 2006 and as such the exemption u/s 212 does not cover it. Further, its first financial year ends on June 30, 2006 and as such its audited financial statements for the period February 21, 2006 to June 30, 2006 are not included in this annual report.

A statement of financial position of the subsidiaries, pursuant to Section 212 of the Companies Act, 1956 is annexed, which forms a part of the Annual Report.

An additional statement is also annexed, which details the position as on March 31, 2006 of the capital, reserves, total assets and liabilities, investments, etc. of each of the subsidiaries for which the Company has obtained the exemption referred to above.

MINDTECK EMPLOYEE STOCK OPTION SCHEME 2005

During the year under review, the Company introduced the "Mindteck Employees Stock Option Scheme 2005" for its employees by the creation and issue of 500,000 options that will eventually convert into 500,000 equity shares of Rs. 10/- each in the hands of the Company's employees. Disclosures as per SEBI (Employee Stock Option Scheme and Employee Share Purchase Scheme) Guidelines 1999 are annexed to this Report.

MINDTECK EMPLOYEES WELFARE TRUST

In the year 2000, the Mindteck Employees Welfare Trust was set up to implement the Company's Share Incentive Scheme, which is not covered by SEBI (Employee Stock Option Scheme and Employee Share Purchase Scheme) Guidelines 1999. As on March 31, 2006 the Trust holds 416,000 shares of the Company and has not granted any shares to the Company's employees under the said scheme.

RESPONSIBILITY STATEMENT OF THE BOARD OF DIRECTORS

The directors' responsibility statement setting out the compliance with the accounting and financial requirements specified under Section 217 (2AA) of the Companies (Amendment) Act, 2000, in respect of the financial statements is annexed to this report.

LIQUIDITY

The liquidity position of your company was comfortable throughout the year.

FIXED DEPOSITS

During the period under review, the company has not accepted any deposits under Section 58-A of the Companies Act, 1956.

DIRECTORS

In accordance with provisions of the Companies Act, 1956 and the Company's Articles of Association, Mr. M.G. Ved retires by rotation as Director of the Company in the coming Annual General Meeting and being eligible, offers himself for re-appointment.

AUDITORS

The Company's statutory auditors, M/s. Deloitte Haskins & Sells, Chartered Accountants, retire at the ensuing Annual General Meeting and being eligible, offer themselves for re-appointment.

PARTICULARS OF EMPLOYEES

As required under the provisions of section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of employees) Rules, 1975, as amended, the names and other particulars of employees are set out in the annexure included in this report.

CONSERVATION OF ENERGY, RESEARCH AND DEVELOPMENT, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Particulars that are required to be disclosed under subsection (1)(e) of Section 217 of the Companies Act, 1956, read with the Companies (Disclosure of Particulars in the Report of Directors) Rules, 1988 are set out in the annexure included in this report.

MATERIAL DEVELOPMENTS AFTER BALANCE SHEET DATE

1. REGISTERED OFFICE

Pursuant to the completion of all necessary legal formalities, effective 13th June 2006, the Company's Registered Office stands transferred from Mumbai in the state of Maharashtra to Bangalore in the state of Karnataka.

Effective 13th June 2006, the Company's Registered Office address is as under:

Mindteck (India) Limited
501, Cyber Park,
Electronics City, Phase I,
Bangalore 560100.

The Company is listed on the Bombay Stock Exchange Limited and continues to service its investors by

retaining its existing Mumbai based Registrars and Share Transfer Agents, Mondkar Computers Private Limited, 25, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.

2. ACQUISITION OF ISS CONSULTANTS INC.

Effective April 1, 2006 the Company's wholly owned subsidiary in the US, Mindteck USA Inc. has acquired the entire outstanding stock of ISS Consultants Inc. ISS Consultants Inc. is a software consulting company based in Houston, USA with revenues of US\$ 11.20 Mn and net profit of US\$ 1.96 Mn for the year ended December 31, 2005.

ACKNOWLEDGEMENTS

Your Directors thank customers, vendors, investors, bankers and the Government of India for their continued support of your Company's growth. Your Directors also place on record, their appreciation of the dedicated efforts of employees at all levels.

On behalf of the Board of Directors

K. V. Aiyappan
Chairman

Bangalore
June 26, 2006

ANNEXURES TO DIRECTORS REPORT

I. DIRECTORS RESPONSIBILITY STATEMENT

The Directors confirm that:

- in preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation related to material departures.
- the Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at the end of March 31, 2006 and its profits for the year ended on that date.
- the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- the Directors have prepared the annual accounts on a going concern basis.

II. INFORMATION AS PER SECTION 217(2A) OF THE COMPANIES ACT, 1956 READ WITH THE COMPANIES (PARTICULARS OF EMPLOYEES) RULES, 1975

Sr. No.	Name	Designation	Age (Years)	Remuneration (Rs.)	Qualifications	Experience (Years)	Date of Appointment	Last Employment Designation held
1	P. A. Anantha narayanan	Chief Executive Officer	45	4,553,303	B.Tech., PGDM	19 Years	24.2.2003	COO, Opus Software, Pune
2	Shankar Velayudhan	Chief Technology Officer	41	3,737,502	B.Tech., M.E	19 Years	14.2.2000	Program Mgr-Tektronix Engg, Bangalore
3	Ravi Raman	AVP Software Services	42	2,617,287	BE., MS	17 Years	26.4.2000	General Manager, Technical, Raffles Software, Bangalore

- Remuneration shown above includes salary, HRA & other allowances, LTA, performance linked bonus, ex-gratia, company's contribution to PF and taxable values of perquisites/benefits.
- Above mentioned employees are not related to any of the directors of the Company.

III. DISCLOSURES AS PER SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE SHARE PURCHASE SCHEME) GUIDELINES 1999

a) Options granted	256,017
b) Pricing formula	Fair Market Value as on the date of grant
c) Options vested	Nil
d) Options exercised	Nil
e) Total no. of shares arising out of exercise of options	Nil
f) Options lapsed/forfeited	20,700
g) Variation of terms of options	N.A.
h) Money realized by exercise of options	N.A.
i) Total no. of options in force	500,000
j) Employee wise details of options granted to:	
(i) Senior Mgt. Personnel	
- P.A. Ananthanarayanan, CEO	57,717
- Shankar Velayudhan, CTO	14,100
- Philip Mammen, Group Head - HR	9,000
(ii) Any other employee(s) in receipt of grant in excess of 5% of options granted during the year	Nil
(iii) Employee(s) in receipt of grant in excess of 1% of issued capital as on the date of the grant	Nil
k) Diluted EPS pursuant to issue of shares calculated in accordance with AS 20	Rs. 2.18 per share
l) Difference between fair value and intrinsic value of options in the calculation of employee compensation costs and impact on net profits and EPS	Nil
m) Weighted average exercise price	Rs. 63.85
Weighted average fair value of options	Rs. 63.85
n) Method and significant assumptions used during the year to estimate the fair value of options	The Exercise Price of the options shall be the fair market value i.e. latest available closing price of the shares of the Company, prior to the date of grant of options, as reported in the stock exchange on which the Company's shares are listed.

IV. PARTICULARS PURSUANT TO COMPANIES (DISCLOSURE OF PARTICULARS IN THE REPORT OF THE BOARD OF DIRECTORS) RULES, 1988

1. Conservation of Energy

The Company is not involved in any manufacturing activity and hence has low energy consumption levels. Nevertheless, the Company makes all efforts to conserve and optimize the use of energy by using energy-efficient fittings and equipment.

2. Technology Absorption and Research and Development

The Company's research and development activities are focused on developing new frameworks, processes and methodologies to improve the speed and quality of service delivery. The Company has also established an electronics hardware laboratory to offer electronics design services, primarily in the wireless space.

3. Foreign Exchange Earnings and Outgo

- a) Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services, and export plans

In F.Y. 2005-06, 98.82 % of the Company's total revenues were derived from exports. During the year, the Company incorporated a wholly owned subsidiary in Malaysia - Mindteck Software Malaysia SDN BHD - to tap into the fast growing markets in the Far East and increase its export earnings.

b) Total foreign exchange used and earned:

Earnings	Rs. 202.16 million
Expenditure	Rs. 13.99 million

On behalf of the Board of Directors

K. V. Aiyappan
Chairman

Bangalore
June 26, 2006

CORPORATE GOVERNANCE REPORT

I. Company's Philosophy on Code of Corporate Governance

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

II. Board of Directors

Composition & Other Directorships

Name of Director	Position	Directorships	Committee Memberships	Chairperson in Committees
Mr. K. V. Aiyappan	Independent, non-executive Chairman	10	2	2
Mr. M. G. Ved	Independent, non-executive Director	2	2	Nil
Mr. Satish Menon	Non-executive Director	Nil	2	Nil

The Company has a mandatory annual requirement for every director to inform the Company about the board/committee member positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 committees or is the Chairman of more than 5 committees across all companies in which he is a director.

Directors' Remuneration

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Board adopts the following criteria while deciding on directors' compensations:

1. The directors should possess a high level of expertise and experience in diverse areas like technology, finance, corporate strategy, etc. so that they can effectively contribute to the Company's growth objectives.
2. The directors should not be related to other promoter/ executive/independent directors. Further, they should not occupy any executive positions in competitor companies.
3. The directors should attend and actively participate in all the board and committee meetings and carry out their general responsibilities as directors without

allowing any kind of situation to arise which carries the potential of a conflict of interest

The Company's shareholders in their annual general meeting held on July 29, 2005 have approved payment of sitting fees to the directors for attending meetings of the Board and Audit Committee up to the maximum limit prescribed by the Companies Act, 1956. Presently, the directors receive sitting fees for attending board and committee meetings @ Rs.20,000/- and Rs.10,000/- per meeting.

The Company has obtained Central Government's permission and is currently paying remuneration of Rs.2 lacs per annum to Mr. M. G. Ved for a period of three years effective January 29, 2005, with an annual increase in remuneration @ 25% p.a.

The Company has also obtained Central Government's permission and is currently paying remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of

three years effective February 28, 2005 with an annual increase in remuneration @ 25% p.a.

Meetings

Seven board meetings were held during the year ended March 31, 2006. The board meetings were held on April 20, 2005, June 1, 2005, July 04, 2005, July 29, 2005, September 12, 2005, October 28, 2005 and January 28, 2006. All the information to be provided to the Board in Annexure-1 of clause 49 of the listing agreement was made available to the board.

The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company Management on a quarterly basis.

The Company's Board has laid down a Code of Conduct for all its members as well as members of the Senior Management of the Company. The said Code has been posted on the Company's website. All Board and Senior Management members have affirmed compliance with this Code as on March 31, 2006.

Directors' Attendance Record in Board Meetings held during the year

Name of Director	Meetings held	Meetings attended
K. V. Aiyappan	7	6
M. G. Ved	7	7
Satish Menon	7	7

Directors' attendance in AGM held during year ended March 31, 2006

Date of AGM	K. V. Aiyappan	M. G. Ved	Satish Menon
9.07.05	Present	Present	Present

III. AUDIT COMMITTEE

The Company has constituted the Audit Committee pursuant to the provisions of the Companies Act. The Committee and has all such additional features / functions as contained in the listing agreement.

The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company Management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as having post audit discussion, reviewing the Company's financial and risk management policies.

Necessary powers are vested with the audit committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the audit committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

All the members of the audit committee are qualified, non-executive directors of the Board. Mr. K.V. Aiyappan and Mr. M.G. Ved are independent members on the Audit Committee.

The Chairman of the Committee, Mr. K.V. Aiyappan is a banker with more than twenty years of experience. The Chairman will be present at the Annual General Meeting to answer shareholders' queries.

Mr. M. G. Ved, member of the Committee is a practicing Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He has vast experience in the fields of auditing, finance, accounts & taxation.

Mr. Satish Menon, member of the Committee, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions.

The Company Secretary, who is secretary to the Committee, was present at all the meetings.

Composition of Audit Committee

Name of Director	Position
Mr. K. V. Aiyappan	Independent, non-executive Chairman
Mr. M. G. Ved	Independent, non-executive director
Mr. Satish Menon	Non-executive director

Directors' Attendance Record in Audit Committee Meetings held during the year

Name of Director	Meetings held	Meetings attended
K. V. Aiyappan	6	6
M. G. Ved	6	6
Satish Menon	6	6

IV. Shareholders Investors/ Grievance Committee

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and M/s. Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee.

- Name of independent, non-executive director heading the Committee: K. V. Aiyappan
- Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2005	No. of cases added during the year	No. of cases resolved during the year	No. of case outstanding as on March 31, 2006
No. of Investor issues	0	16	16	0
No. of legal cases	0	0	0	0

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

V. Management

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the management had personal interest that had a potential conflict with the interest of the Company at large.

VI. Disclosures

There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

No penalties were imposed on the Company by stock exchanges or SEBI or any other statutory authority on any matter related to capital market during the last three years.

VII. Shareholders' Information

Annual General Meetings

Location and time of last three AGMs held

Date of AGM	Time of AGM	Location
29-Jul-05	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
6-Aug-04	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
15-Mar-04	4.30 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2006.

Communication with the Shareholders

The Company informs the shareholders, on appointment or re-appointment of a Director and

provides a brief resume of the Director, his/her expertise and names of companies in which he/she holds directorships and committee memberships.

During the year, all quarterly results were sent to the stock exchange where the Company's equity shares are listed and posted on the company's website (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Free Press Journal and Nav Shakti. The Company's web site also displays official news releases.

Please also refer section on Shareholders' Information in this annual report.

VIII. Compliance

The statutory auditors' Certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is annexed.

On behalf of the Board of Directors

K. V. Aiyappan
Chairman

Bangalore
June 26, 2006

SHAREHOLDERS' INFORMATION**AGM: Date, Time and Venue**

Monday, 28th August, 2006 at 4.00 p.m. at HAL Convention Centre, Next to HAL Heritage Centre & Aerospace Museum, Post Marathahalli, Bangalore 560 037

Financial Calendar

1st April to 31st March, 2006

Book Closure dates

11th August to 28th August, 2006 (both days inclusive)

Dividend Payment Date

Within stipulated period from the date of the AGM, if declared by the members.

**Listing on Stock Exchanges & Stock code
Registrar and transfer Agents**

The Stock Exchange, Mumbai - 517344
M/s. Mondkar Computer Pvt. Ltd.,
21, Shakil Niwas, Mahakali Caves Road,
Andheri (East), Mumbai – 400 093.

Share transfer System

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer, transmission etc. in 2 batches every month. Hence, the share transfer, transmission etc. are effected within stipulated time. Transfers/transmission, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgement.

Dematerialization of shares and liquidity

Effective August 28, 2000 it has become compulsory to trade Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have been reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd. The Company, in co-ordination with its Registrars & Share Transfer Agents, M/s. Mondkar Computers Pvt. Ltd. facilitates simultaneous transfer of shares and dematerialization. This reduces correspondence, time and effort of all shareholders by ensuring maximum investor satisfaction and transparency.

Software Development Centers**Bangalore:**

501, Cyber Park,
Electronic City, Phase I,
Bangalore 560100.

Kolkata:

Software Technology Park,
SDF Building, Module No.529 & 530,
4th Floor, Sector V, Block EP GP,
Salt Lake Electronics Complex,
Kolkata – 700 091.

**Compliance Officer and Registered Office
Address for correspondence**

P. Vidya Sagar,
Compliance Officer,
Mindteck (India) Limited
501, Cyber Park,
Electronic City, Phase I,
Bangalore 560100.

• **Market Price Data: High, Low of Company's equity shares on the Stock Exchange, Mumbai during each month in the year ended March 31, 2006**

Month	Sensex		Share Price		Trade	
	High	Low	High	Low	No. of shares traded	Value
			Rs.	Rs.		Rs.
Apr-05	6606.41	6134.86	23.10	19.25	26094	560096
May-05	6707.72	6195.15	31.10	18.25	335154	9049182
Jun-05	7151.08	6655.56	50.95	29.65	1500687	67909400
Jul-05	7635.42	7145.13	65.50	44.40	838416	45257507
Aug-05	7859.53	7606.17	61.35	50.90	240098	13441558
Sep-05	8650.17	7876.15	70.05	47.30	403257	25404910
Oct-05	8799.96	7685.64	49.15	31.95	77930	3044904
Nov-05	8994.94	7944.10	46.40	36.30	101054	4353221
Dec-05	9394.27	8815.53	47.00	39.60	81973	3553341
Jan-06	9919.89	9237.53	49.50	41.20	122596	5665439
Feb-06	10565.47	9742.58	41.60	35.05	140938	5621723
Mar-06	11183.48	10508.85	37.95	32.20	152336	5280365

• **Performance in comparison to broad-based BSE Index & BSE IT Index**

Month	Share Price (Rs.) *	BSE Index	BSE IT Index
Apr-05	19.25	6154.44	2355.16
May-05	29.30	6715.11	2745.95
Jun-05	46.35	7193.85	2897.35
Jul-05	53.80	7635.42	2810.86
Aug-05	55.65	7805.43	2989.06
Sep-05	47.30	8634.48	3125.09
Oct-05	34.75	7892.32	3115.12
Nov-05	44.20	8788.81	3368.32
Dec-05	41.55	9397.93	3742.74
Jan-06	41.20	9919.89	3749.20
Feb-06	37.70	10370.24	3706.30
Mar-06	36.55	11279.96	4030.29

- indicates closing price on last day of month

• **Distribution of Shareholding as on March 31, 2006**

Range	Shareholders		Shares	
	No. of Shares	Numbers	% to Total	% to Total
1 – 500	8711	95.213	633,365	6.51
501 – 1000	243	2.656	197,363	2.03
1001 – 2000	84	0.918	125,985	1.30
2001 – 3000	44	0.481	108,531	1.12
3001 – 4000	21	0.23	76,252	0.78
4001 – 5000	11	0.12	50,947	0.52
5001 – 10000	21	0.23	159,035	1.64
10001 & above	14	0.153	8,374,086	86.10
Total	9149	100	9,725,564	100.00

• **Shareholding Pattern as on March 31, 2006**

Shareholder Category	No. of Shares	%age
1. Promoters	7,639,004	78.55
2. Mindteck Employees Welfare Trust	416,000	4.28
3. Public	1,670,560	17.17
Total	9,725,564	100

AUDITORS' CERTIFICATE

Auditors' certificate to the members of Mindteck (India) Limited on compliance of conditions of corporate governance for the year ended March 31, 2006, under Clause 49 of the listing agreements with the relevant stock exchanges

We have examined the compliance of conditions of corporate governance by Mindteck (India) Limited (the "Company") for the year ended March 31, 2006 as stipulated in Clause 49 of the Listing Agreement of the said company with the relevant Stock Exchanges.

The compliance of conditions of corporate governance is the responsibility of the management. Our examination is limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representation made by the management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the abovementioned Listing Agreement.

We state that no investor grievances are pending for a period exceeding one month as on March 31, 2006 against the Company as per the records maintained by the Shareholders/ Investors Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

for Deloitte Haskins & Sells
Chartered Accountants

S. Ganesh
Partner

M. No.: 204108

Bangalore
June 26, 2006

Chief Executive Officer (CEO) and Finance Controller (FC) Certification

We, P. A. Ananthanarayanan, Chief Executive Officer and Subrata Nag, Finance Controller of Mindteck (India) Limited, to the best of our knowledge and belief, certify that:

- (a) we have reviewed financial statements and the cash flow statement for the year and that to the best of our knowledge and belief :
 - (i) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
 - (ii) these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
- (b) There are, to the best of our knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or violative of the company's Code of Ethics.
- (c) we accept responsibility for establishing and maintaining internal controls and that we have evaluated the effectiveness of the internal control systems of the company and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.
- (d) we have indicated to the auditors and the Audit committee:
 - (i) significant changes in internal control during the year;
 - (ii) significant changes in accounting policies during the year, if any, and that the same have been disclosed in the notes to the financial statements; and
 - (iii) instances of significant fraud, if any, of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the company's internal control system.

P. A. ANANTHANARAYANAN
CHIEF EXECUTIVE OFFICER

SUBRATA NAG
FINANCE CONTROLLER

Bangalore
June 26, 2006

Management's Discussion and Analysis of Financial Condition and Results of Operations

A. Business Overview

Mindteck (India) Limited transforms information technology into value for customer worldwide. The Company currently provides outsourced IT services in three areas – embedded systems, SAP implementation and support and IT consulting services. In the embedded systems field, Mindteck is a leading provider of product development lifecycle services. The Company's technology capabilities are complemented by industry-specific experiences in developing embedded software solutions for test and measurement equipment, semiconductor capital equipment, wireless and medical equipment industries. The Company's SAP practice provides services in the areas of SAP implementation and roll outs, application integration, upgrades and application support as well as data archival. These services are provided across a wide spectrum of industries that include oil and gas, manufacturing, chemicals and consumer products. The Company also offers a broad range of IT services including custom application development, application management, reengineering and independent testing services. These services are offered across all contemporary technologies.

The Company's sales and business development activities are carried out through its subsidiaries and fellow subsidiaries that are geographically focused. The sales force is supported by technical consultants with domain specific expertise that enables the Company to customize its solutions to customer needs. While the Company's primary geographic market is the USA, Mindteck's customers are transnational companies as well as small and medium enterprises across several industries.

B. The Current Operating Environment and Outlook

The global economy continues to be reshaped by the forces of globalization, technology, and economic liberalization. These forces are accelerating the pace of economic change and intensifying competition across industries. In response companies are focusing on core competencies and outsourcing a range of services including technology services. Companies have also recognized the benefits of using offshore technology service providers for a variety of their IT needs. To capitalize on this and other emerging opportunities, the Company is continuing with several initiatives aimed at strengthening its competitive position by enhancing its solution set, seeking higher penetration into existing customers, developing new customers and by expanding geographically.

C. Competitive Environment

The IT services market is competitive with a large number of offshore software service companies and IT outsourcing companies. The Company competes with

internal IT departments of its customers for business as well. In the future, the Company expects competition from companies establishing captive development centers in India and other lower cost locations.

Mindteck's primary vectors of differentiation in this competitive market place are its global delivery capabilities, deep industry expertise and excellent relationship management. The company's global delivery capabilities enable it to provide a number of options to its customers in terms of skills, price points and time zones. Its industry expertise is built by developing unique combinations of domain and technology knowledge components that can be combined flexibly and swiftly to produce solutions of value. The Company's relationship management processes are founded on trust and strive to build long term partnerships with customers so that the cost and quality of its deliverables can be continuously improved.

D. Revenue Contribution from Geographic Segments

As with most other Indian IT services companies, Mindteck derives a major proportion of its revenue from customers in the US. During the year under review the Company derived 93.6 % of its revenue from the US. To reduce the risk inherent in this dependence on the US market, efforts have been initiated to geographically diversify revenues. The establishment of a subsidiary in Malaysia and the acquisition of Mindteck Middle East are deliberate and strategic steps in this direction.

E. Risks

The Company has established a comprehensive Enterprise Risk Management Program, which aims at assessing and controlling risk through a clearly defined framework. This framework is largely based on the recommendations of the Committee of Sponsoring Organizations of the Treadway Commission (COSO).

In its quest to achieve its business objectives, the Company is faced with numerous external and internal risks:

a) Macro Economic Factors

While intense competition brought on by supply side factors is forcing companies to outsource non-core functions, over the last year, IT service providers themselves have come under increasing pricing pressure. To offset these pressures, the company has reconfigured many of its service offerings and introduced new offerings that have enabled it to retain a degree of control over pricing decisions.

b) Political Environment

The political debate in the US surrounding the offshoring of work to India and the impact that this has on the US job market may result in the passage of legislation in

some of the states that might restrict or limit the Company's opportunities. Currently the Company has no significant federal or state contracts.

c) Exchange Rate Fluctuations

The Company's functional currency is the Indian Rupee. Substantially, all of the Company's revenues are generated in US Dollars while most of its expenses are incurred in Indian Rupees. The appreciation of the Rupee against the US Dollar adversely impacts the Company's profitability and operating results.

The Company seeks to meet expenses through receipts in the same currency. The Company also seeks to reduce the effect of exchange rate fluctuations on operating results by purchasing foreign exchange forward contracts to cover a portion of outstanding accounts receivable.

d) Wage Inflation

The rapid growth of the IT services industry in India and the consequent spurt in demand for talent is likely to put increasing pressure on wage costs. Wage costs are a significant component of the company's cost structure and so the company's profitability may be adversely affected in an inflationary environment.

The Company seeks to mitigate this risk by ensuring a right mix of resources, challenging younger people in the organization to take up higher responsibilities with appropriate training and by having a variable component in the compensation structure of its employees.

e) Business Concentration

The Company's business today is largely concentrated in the US. Further, a major proportion of the Company's revenue is derived from services in the embedded systems space.

To mitigate the risk arising from this concentration, the Company has taken to broaden its service offerings as well as to expand the Company's business development efforts geographically. The Company has established a SAP practice. It has also secured access to markets in the Middle East and Far East by acquiring and/or incorporating subsidiaries in these regions.

f) Customer Order Execution

The Company's delivery of software solutions to its customers is subject to quality risks and to uncertainty in execution within budgeted time and costs. The Company believes that robust software engineering processes significantly reduce these risks and has adopted the Software Engineering Institute's Capability Maturity Model (SEI-CMM). This model ensures that risks are identified and measures are taken to mitigate them at the project planning stage itself.

The Company also faces the risk of litigation if it fails to adhere to agreed deliverables and/or is in breach of contractual obligations pertaining to the protection of customers' intellectual property rights, patents and copyrights. The Company's risk management program has a process to review and document contracts. The process focuses on evaluating the legal risks in a contract, ascertaining the Company's responsibilities and taking steps to limit its liabilities.

g) Human Resource Management

The Company's ability to deliver value to its customers depends largely on its ability to attract and retain skilled and talented IT professionals. There is significant competition for these resources which has been heightened by the entry of overseas competitors into the Indian market.

The Company seeks to attract talented professionals by showcasing the variety and the quality of work that the Company's employees have delivered to customers worldwide. To retain employees the Company invests in a number of learning initiatives that seek to enhance employees' professional intellect. The Company has also established a stock option plan as a long term component of compensation.

F. Internal Control Systems

Internal control systems in the Company are intended to provide reasonable assurance that assets are safeguarded, transactions are executed in accordance with Management's authorization and properly and promptly recorded and accounting records are adequate for the preparation of financial statements and other financial information.

Internal audits are performed periodically to ascertain the adequacy and effectiveness of internal control systems. The audit committee of the Board periodically reviews the functions of internal audit.

G. Financial Condition

Share capital

The authorized share capital of the company is Rs. 200 million divided into 15 million equity shares of par value Rs. 10 each and 500,000 cumulative non-convertible redeemable preference shares of Rs. 100/- each. There has been no change in the issued, subscribed and paid up capital over the last year which stands at Rs. 97.26 million as on March 31, 2006.

During the year, the Company granted 256,017 options to its employees under the Company's Stock Option Scheme, 2005 out of which 235,317 options were outstanding as on March 31, 2006. None of these options had vested as on March 31, 2006.

Reserves & Surplus

The balance retained in the Profit and Loss Account after providing for dividend is Rs 12.29 million. The total shareholder funds of the Company increased to Rs 208.82 million as of March 31, 2006 from Rs 198.22 million as of the previous year end.

Secured Loans

The company has credit facilities with UTI Bank Ltd. Borrowings under these facilities are secured against the company's property at Kolkata and the book debts of the company. The borrowings as on March 31, 2006 stood at Rs. 35.69 million.

Fixed assets

During the year, the Company added Rs. 16.14 million to its gross block of assets that included investments in computers and software of Rs. 11.58 million. The company also retired assets with a gross block of Rs. 5.02 million and a net book value of Rs. 0.33 million.

Investments

The Company's wholly owned subsidiary in the US, Mindteck Consulting Inc, acquired and merged into itself effective April 1, 2005, Mindteck USA Inc., a company wholly owned by Business Holdings Ltd, an intermediary holding company. As a consideration for the acquisition, MCI issued 992 non-convertible preferred stock of \$1000 each to Business Holdings Ltd. Subsequently, the merged entity was renamed as Mindteck USA Inc. (MUI).

The Company's other wholly owned subsidiary in the US, Mindteck Systems Inc was merged with MUI effective March 31, 2006. During the year, MUI generated revenues of Rs. 393.20 million (US \$8.93 million) and a net profit of Rs. 14.32 million (\$326,000).

On July 12, 2005, the Company acquired 100% of the equity of Mindteck Middle East Ltd. SoC, (MME) a company wholly owned by Business Holdings Ltd. for a consideration for \$42,000. During the year MME achieved revenues of Rs. 5.58 million.

On December 22, 2005, the Company incorporated a wholly owned subsidiary in Malaysia, Mindteck Software Malaysia SDN BHD. The value of the investment as on March 31st 2006 stands at Rs.3.01 million.

On February 21, 2006, the Company incorporated a wholly owned subsidiary in India, Mindteck BPO Services Pvt. Ltd., with an initial paid up capital of Rs.0.50 million.

Current Assets

Sundry debtors increased from Rs. 65.18 million as of March 31, 2005 to Rs. 93.26 million (net of provision for doubtful debts) as of March 31, 2006. These debtors are considered good and realizable.

Cash and Bank Balances reduced to Rs.6.28 million from Rs.23.45 million. These balances include both rupee accounts and foreign currency accounts.

Advances are amounts paid in advance for value and services to be received in future. Advance income tax represents payments made towards current tax liability as well as refunds due for the previous years. Advances to staff are recoverable within a year.

Current liabilities and provisions

Current liabilities and provisions have increased to Rs. 22.42 million as of March 31, 2006 from Rs. 20.49 million as of March 31, 2005. Sundry creditors represent amounts payable to vendors for the supply of goods and services. Provision for taxation represents estimated income tax liabilities.

In compliance with the Accounting Standard 22 issued by the Institute of Chartered Accountants of India, the company has not recognized any deferred tax assets/liabilities. In fact the timing difference relating mainly to depreciation and unabsorbed losses results in a Net Deferred Asset and has not been recognized as a measure of prudence.

H. Results of operations

Income

Income from operations for the year was Rs. 194.79 million against Rs. 114.93 million recorded in the previous year which represents a growth rate in income of 69%.

The company's revenues are generated principally from offshore software development services. These services are delivered either on a fixed price basis or on a time and material basis.

The growth in revenues was achieved largely through a growth in business volume.

Expenditure

The manpower cost for the year was Rs. 109.04 million against Rs. 69.15 million in the previous period. As a percentage of revenue, manpower costs have decreased from 60.17 % to 55.98 % during the current period. Manpower costs consist of salaries paid to employees in India and include overseas staff expenses. Consultancy charges represent the cost of sub-contractors used for software development activities.

The operational and administrative expense for the year was Rs. 62.02 million when compared to Rs.32.80 million incurred in the previous period.

The finance expenses increased to Rs. 3.83 million from Rs. 2.11 million in the previous period.

The company provided Rs 8.70 million for depreciation compared to Rs. 6.57 million that was provided in the previous period.

The company has made a provision for income tax of Rs. 0.90 million and a provision for fringe benefit tax of Rs. 0.79 million.

Other Income

Other income earned was Rs. 12.38 million against Rs. 4.78 million earned in the previous period. This includes dividend of Rs 9.66 million declared by the Company's wholly owned subsidiary Mindteck USA Inc. Other income includes interest received on deposits with banks, rent received, exchange difference, reversal of excess provision of earlier years and other miscellaneous income.

Net Profit

Net profit for the year amounted to Rs. 21.69 million against Rs. 8.48 million recorded in the previous year.

Liquidity

The liquidity of the company was comfortable throughout the year

I. Human Resources

The total number of employees increased from 152 as on March 31, 2005 to 241 as on March 31, 2006. To reduce attrition levels, the Company has initiated a number of programs that include an empowered work environment, learning opportunities, global exposure, competitive compensation packages and an employee ownership program.

AUDITORS' REPORT

TO THE MEMBERS OF MINDTECK (INDIA) LIMITED

1. We have audited the attached Balance Sheet of Mindteck (India) Limited as at 31st March, 2006 and also the Profit and Loss Account and the Cash Flow Statement of the Company for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Management of the Company. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. These Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the Management as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of Section 227 (4A) of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order; to the extent applicable to the Company.
4. Further to our comments in the Annexure referred to above, we report that:
 - (a) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) in our opinion, proper books of account as required by law have been kept by the Company, so far as it appears from our examination of the books;
 - (c) the Balance Sheet, the Profit and Loss Account and the Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - (d) in our opinion, the Balance Sheet, the Profit and Loss Account and Cash Flow Statement dealt with by this report are in compliance with the Accounting Standards referred to in Section 211 (3C) of the Companies Act, 1956;
 - (e) On the basis of the written representations from the directors, taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2006 from being appointed as a director under Section 274 (1)(g) of the Companies Act, 1956;
5. In our opinion and to the best of our information and according to the explanations given to us, the said accounts give the information required, by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - (i) in the case of the Balance Sheet, of the state of affairs of the Company as at 31st March, 2006;
 - (ii) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and
 - (iii) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date.

for Deloitte Haskins & Sells
Chartered Accountants

Bangalore
June 26, 2006

S.Ganesh
Partner
M. No.: 204108

ANNEXURE REFERRED TO IN PARAGRAPH 3 OF OUR REPORT OF EVEN DATE

1. The nature of the Company business/activities during the year is such that the Clauses i (c), ii, iii (b) to (d), (f), (g), v (b), vi, viii, x, xi, xii, xiii, xiv, xv, xvi, xviii, xix and xx are not applicable.
2. The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets. Some of the fixed assets were physically verified during the period by the management in accordance with a program of verification, which in our opinion provides for physical verification of all the fixed assets at reasonable intervals. According to the information and explanation given to us no material discrepancies were noticed on such verification.
3. According to the information and explanations given to us, during the year the Company has not granted or taken any loans, secured or unsecured to or from companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956.
4. In our opinion and according to the information and explanations given to us, there are adequate internal control procedures commensurate with the size of the Company and the nature of its business for the purchase of inventory and fixed assets and for the sale of goods and services and we have not observed any continuing failure to correct the major weaknesses in such internal controls.
5. To the best of our knowledge and belief and according to the information and explanations given to us there are no contracts or arrangements that need to be entered in the register maintained in pursuance of Section 301 of the Companies Act, 1956.
6. In our opinion, the internal audit functions carried out during the period by an independent firm of Chartered Accountants appointed by the management have been commensurate with the size of the Company and the nature of its business.
7. In respect of Statutory dues:
 - a) According to the information and explanations given to us, the Company has been regular in depositing undisputed statutory dues, including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth Tax, Service tax, Custom Duty, Excise Duty, cess and any other material statutory dues with the appropriate authorities during the period and there are no undisputed statutory dues outstanding for a period of more than six months from the date they became payable as at the balance sheet date.
 - b) According to the information and explanations given to us, there are no dues of sales tax, customs duty, wealth tax, service tax, excise duty and cess which have not been deposited as on March 31, 2005 on account of any dispute.
8. According to the information and explanations given to us, and on an overall examination of the balance sheet of the Company, funds raised on short term basis have, prima facie, not been used during the period for long term investment.
9. To the best of our knowledge and belief and according to the information and explanations given to us, no fraud on or by the Company was noticed or reported during the year.

BALANCE SHEET AS AT 31st MARCH 2006

Schedule		As At 31-03-2006 Rupees	As At 31-03-2005 Rupees
SOURCES OF FUNDS :			
SHAREHOLDERS FUNDS :			
Share Capital	1	97,255,640	97,255,640
Reserves & Surplus	2	111,568,207	100,965,726
		208,823,847	198,221,366
LOAN FUNDS :			
Secured Loans	3	35,694,050	19,836,018
TOTAL		244,517,897	218,057,384
APPLICATION OF FUNDS :			
FIXED ASSETS	4		
Gross Block		81,538,692	65,895,603
Less : Depreciation		37,659,200	29,121,614
Net Block		43,879,492	36,773,989
Capital Work in Progress (at Cost, including advances)		556,671	251,427
		44,436,163	37,025,416
INVESTMENTS	5	62,942,792	57,596,220
CURRENT ASSETS, LOANS AND ADVANCES			
Interest Accrued but not due		22,748	302,891
Sundry Debtors	6	93,268,697	65,175,943
Cash & Bank Balances	7	6,822,754	23,447,169
Loans & Advances	8	70,508,599	54,786,917
		170,622,798	143,712,920
LESS : CURRENT LIABILITIES AND PROVISIONS	9		
Current Liabilities		16,796,273	10,516,764
Provisions		16,718,143	9,974,319
		33,514,416	20,491,083
NET CURRENTS ASSETS		137,108,382	123,221,837
MISCELLANEOUS EXPENDITURE	10	30,560	213,911
[To the extent not written off]			
TOTAL		244,517,897	218,057,384
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	16		
The schedules referred to above form an integral part of the accounts			

As per our report of even date
For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place: Bangalore
Date: June 26, 2006

For and on behalf of the Board
K V Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Place: Bangalore
Date: June 26, 2006

P A Ananthanarayanan
Chief Executive Officer

P. Vidya Sagar
Company Secretary

Subrata Nag
Finance Controller

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31st MARCH 2006

	Schedule	Rupees	Year Ended 31-03-2006 Rupees	Year Ended 31-03-2005 Rupees
INCOME				
Income from Operations	11		194,791,538	114,930,870
Other Income	12		12,384,680	4,775,668
TOTAL			207,176,218	119,706,539
EXPENDITURE				
Manpower Costs	13	109,044,560		69,150,953
Operating and Administration Expenses	14	62,023,701	171,068,261	32,802,053
Financial Charges	15		3,831,600	101,953,006
Depreciation	4		8,705,279	2,107,605
Miscellaneous Expenditure Written off	10		183,351	6,566,896
TOTAL			183,788,491	110,810,859
Profit/(Loss) before Taxation			23,387,727	8,895,680
Taxation				
- Current tax			905,000	420,000
- Fringe Benefit Tax			790,672	-
- Deferred Tax (Note B 7)			-	-
Profit/(Loss) after Taxation			21,692,055	8,475,680
Surplus/(Loss) brought forward from previous year			1,683,545	(138,391)
Balance available for appropriation			23,375,600	8,337,289
Balance in General Reserve as per Contra			-	-
Proposed Dividend			9,725,564	5,835,338
Corporate Dividend Tax			1,364,010	818,406
Balance Carried to Balance Sheet			12,286,026	1,683,545
			23,375,600	8,337,289
- Weighted average number of equity shares - basic			9,725,564	9,725,564
- Weighted average number of equity shares - diluted			9,960,881	9,725,564
- Earnings per Share of Equity Share of Rs. 10 each -Basic			2.23	0.87
- Earnings per Share of Equity Share of Rs. 10 each -Diluted			2.18	0.87
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	16			
The schedules referred to above form an integral part of the accounts				

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants**S Ganesh**
Partner

For and on behalf of the Board

K V Aiyappan
Chairman**M. G. Ved**
Director**Satish Menon**
Director**P A Ananthanarayanan**
Chief Executive Officer**P. Vidya Sagar**
Company Secretary**Subrata Nag**
Finance ControllerPlace: Bangalore
Date: June 26, 2006Place: Bangalore
Date: June 26, 2006

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31st MARCH 2006

Rupees	As at 31-03-2006 Rupees	As at 31-03-2005 Rupees
SCHEDULE - 1		
SHARE CAPITAL		
AUTHORISED		
15,000,000 Equity Shares (Previous Year 15,000,000) of Rs. 10/- each	150,000,000	150,000,000
500,000 Cumulative Non-Convertible Redeemable Preference Shares (Previous Year 500,000) of Rs. 100/- each	50,000,000	50,000,000
TOTAL	200,000,000	200,000,000
ISSUED, SUBSCRIBED AND PAID UP		
9,725,564 Equity Shares (Previous Year 9,725,564) of Rs. 10/- each fully paid up Of the above,	97,255,640	97,255,640
1. 251,680 Equity Shares (Previous Year 251,680) of Rs. 10/- each are allotted for consideration other than cash to the Shareholders of erstwhile Nicco Infotech Ltd pursuant to the amalgamation		
2. 2,850,000 Equity Shares (Previous Year 2,850,000) of Rs. 10/- each are allotted as fully paid up for Consideration other than cash		
3 a. 7,377,257 Equity shares (Previous Year 7,397,257) are held by Embtech Holding Limited, Marutius the holding company		
b. 416,000 Equity Shares (Previous Year 416,000) are held by Mindteck Employees Welfare Trust		
TOTAL	97,255,640	97,255,640
SCHEDULE - 2		
RESERVES & SURPLUS		
Capital Reserve		
Opening Balance	35,689,935	35,689,935
	35,689,935	35,689,935
Securities Premium		
Opening Balance	63,092,246	63,092,246
	63,092,246	63,092,246
General Reserve		
Opening Balance	500,000	500,000
	500,000	500,000
Surplus in Profit and Loss Account	12,286,026	1,683,545
TOTAL	111,568,207	100,965,726
SCHEDULE - 3		
SECURED LOANS		
Cash Credit Facilities from Scheduled Banks	35,694,050	19,836,018
(Secured against Fixed Deposits aggregating Rs 5,000,000/- [P Y 20,000,000/-] with UTI Bank Ltd and a first charge on building at Kolkatta and Book Debts of the Company)		
TOTAL	35,694,050	19,836,018

MINDTECK (INDIA) LIMITED

FIXED ASSETS

SCHEDULE 4

ASSETS	GROSS BLOCK (AT COST)			DEPRECIATION			NET BLOCK	
	As at 01.04.2005	Additions during the period	Deletions	As at 31.03.2006	As at 01.04.2005	Additions during the period	As at 31.03.2006	As At 31.03.2005
INTANGIBLE ASSETS:								
GOODWILL (Arising on Acquisition) (Note B 3)	7,000,000	-	-	7,000,000	-	1,400,000	5,600,000	7,000,000
TANGIBLE ASSETS:								
COMPUTER EQUIPMENTS (INCL. SOFTWARE)	38,442,173	11,577,963	-	50,020,136	24,831,496	6,203,770	31,035,266	13,610,677
OFFICE EQUIPMENTS	4,150,176	3,527,539	-	7,677,715	1,113,602	459,091	1,572,693	3,036,574
FURNITURE & FIXTURES	5,246,718	477,500	-	5,724,218	1,886,058	421,834	2,307,892	3,360,660
VEHICLES	501,787	-	501,787	-	146,405	21,288	-	355,382
OTHER EQUIPMENTS	398,229	561,874	-	960,103	140,967	33,745	174,712	257,262
LEASE HOLDINGS	10,156,520	-	-	10,156,520	1,003,086	165,551	1,168,637	9,153,434
TOTAL	65,895,603	16,144,876	501,787	81,538,692	29,121,614	8,705,279	37,659,200	36,773,989
PREVIOUS YEAR	64,827,301	4,080,559	3,012,257	65,895,603	24,897,116	6,566,896	29,121,614	36,773,989

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31st MARCH 2006 (cont.)

	Rupees	As at 31-03-2006 Rupees	As at 31-03-2005 Rupees
SCHEDULE - 5			
INVESTMENTS : Long Term, Unquoted (At Cost)			
In shares of Wholly owned Subsidiaries : (Trade)			
(1) Nil Common Stock (Shares) no Par Value (Previous Year 1,600) of Mindteck Systems Inc. (formerly known as Hinditron International Inc., U S A) (Note B 1 (a))	-		5,029,750
Less : Provision for Dimunition in value of Investments	-		(5,029,750)
		-	-
(2) 433 Common Stock (Shares) at \$ 5000 Par Value (Previous Year 432) of Mindteck USA Inc, USA formerly known as Mindteck Consulting Inc.,) (Note B 1 (a))		57,596,220	57,596,220
(3) 500 Common Stock (Shares) of BD 100 Par Value (Previous Year Nil) of Mindteck Middle East SOC (Note B 1 (b))		1,830,360	-
(4) 50,000 Common Stock (Shares) at Rs 10/- Par Value (Previous Year Nil) of Mindteck BPO India Pvt Ltd (Note B 1 (c))		500,000	-
(5) 250,000 Common Stock (Shares) at RM 1.00 Par Value (Previous Year Nil) of Mindteck Software Malaysia SDN. BHD (Note B 1 (c))		3,016,212	-
TOTAL		62,942,792	57,596,220
SCHEDULE - 6			
SUNDRY DEBTORS			
(Unsecured)			
A Debts Outstanding for a period exceeding six months			
Considered good		573,673	3,216,092
Considered doubtful		688,487	275,000
B Others Debts			
Considered good			
- Due from Subsidiaries [Max Q/S during the year Rs. 76,109,127/- Previous period Rs 5,821,986/]	76,109,127		4,667,930
- Due from Others	16,585,897	92,695,024	57,291,921
		93,957,184	65,450,943
Less: Provision For Doubtful Debts		(688,487)	(275,000)
TOTAL		93,268,697	65,175,943
SCHEDULE - 7			
CASH AND BANK BALANCES			
Cash on Hand		34,108	24,228
Balances with Scheduled Banks:			
In Current Accounts		1,358,002	3,417,941
In Deposit Accounts		5,430,644	20,005,000
(Pledged for margin money Rs. 1,60,543 (Previous Period Rs. 1,60,543) with Banks and Government Authorities)			
[Pledged for Secured Loans Rs 5,000,000 (Previous Period Rs 20,000,000)]			
TOTAL		6,822,754	23,447,169

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31st MARCH 2006 (cont.)

	Rupees	As at 31-03-2006 Rupees	As at 31-03-2005 Rupees
SCHEDULE - 8			
LOANS AND ADVANCES			
(Unsecured, considered good unless otherwise stated)			
Advances recoverable in cash or kind or for value to be received			
Mindteck Employees Welfare Trust [Note B 4]		40,113,982	40,113,982
Due from Subsidiaries		9,774,103	-
Advance to Staff		1,057,844	134,078
Advance to Suppliers/others		132,792	28,687
Prepaid Expenses		1,833,039	1,113,288
Advance Income Tax and Tax deducted at source		2,961,582	2,904,954
Deposits - with Government Bodies		464,120	432,102
Deposits - Others		14,171,137	10,059,826
TOTAL		70,508,599	54,786,917
SCHEDULE - 9			
CURRENT LIABILITIES AND PROVISIONS			
Current Liabilities			
Sundry Creditors - Capital [Note B13]		-	338,000
Sundry Creditors - Others [Note B13]		11,788,395	6,798,498
Due to Subsidiary (Maximum Outstanding during the year Rs 594,750/-)		594,750	-
Deposits		828,200	828,200
Unclaimed Dividends [Note B 5]		304,273	183,749
Amount to be credited to Investor Education & Protection Fund [Note B 6]		-	-
Share Application Refund Account		6,575	6,575
Others Liabilities		3,274,080	2,361,742
		16,796,273	10,516,764
Provisions			
Provision for Leave Encashment [Note B15]		3,032,287	1,629,293
Provision for Taxation		2,596,282	1,691,282
Provision for Fringe Benefit tax (FBT)	790,672		
Less: Advance FBT	790,672	-	
Proposed Dividend		9,725,564	5,835,338
Provision for Corporate Dividend Tax		1,364,010	818,406
		16,718,143	9,974,319
TOTAL		33,514,416	20,491,083
SCHEDULE - 10			
MISCELLANEOUS EXPENDITURE			
[To the extent not written off or adjusted]			
Opening Balance/Amalgamation Expenses	213,911		397,263
Less : Written/Amortised off during the period [Note A (x)]	183,351	30,560	183,352
TOTAL		30,560	213,911

Schedules annexed to and forming part of the Profit and Loss Account for the year ended 31st MARCH 2006

	Year ended 31-03-2006 Rupees	Year ended 31-03-2005 Rupees
SCHEDULE 11		
INCOME FROM OPERATIONS		
Income from Software Services		
Domestic	2,291,569	8,959,726
Exports	192,499,969	105,971,144
(Tax Deducted at Source Rs 1,275,792/- [Previous Period Rs.554,672/-])		
TOTAL	194,791,538	114,930,870
SCHEDULE 12		
OTHER INCOME		
Interest from banks	539,439	1,042,883
(Tax deducted at source Rs.118,139/- [Previous Period Rs 218,991/-])		
Interest on Income Tax Refund	62,714	120,364
Miscellaneous Income	38,727	254,759
Provision No Longer Required Written back	461,359	996,756
Rent Received	828,180	690,152
Exchange Fluctuation	794,031	1,670,755
Dividend Income	9,660,230	-
TOTAL	12,384,680	4,775,668
TOTAL INCOME	207,176,218	119,706,539
SCHEDULE 13		
MANPOWER COSTS		
Salaries and Allowances	99,636,364	63,109,536
Company's Contribution to Provident and Other Funds	4,820,190	2,956,407
Staff Welfare Expenses	1,941,208	665,965
Consultancy Charges	2,646,798	2,419,045
TOTAL	109,044,560	69,150,953
SCHEDULE 14		
OPERATING & ADMINISTRATION EXPENSES		
Rent [Note B 11]	17,864,845	11,723,151
Leasing and Hiring charges	2,709,965	477,183
Rates & Taxes	943,366	567,133
Insurance Premium	496,539	292,695
Telephone, Telex and Postage	4,500,716	3,422,522
Electricity	3,685,661	2,698,713
Travelling Expenses	12,672,642	4,124,137
Repairs and Maintenance		
- Computer	911,229	710,658
- Others	1,561,582	742,541
Professional Charges	5,424,951	1,018,201
Remuneration to Non- Executive Directors	539,597	217,264
Remuneration to Auditors (Refer Note B 9)	1,014,951	668,645
Printing & Stationery	1,035,353	517,371
Miscellaneous Expenses	5,362,961	2,311,748
Membership & Subscription	1,176,315	992,101
Recruitment Expenses	1,433,237	1,673,565
Loss on Sale/Discarded Fixed Asset	224,094	594,355
Bad Debts Written Off	465,697	50,070
TOTAL	62,023,701	32,802,053
SCHEDULE 15		
FINANCIAL CHARGES		
Interest		
On Cash Credit	3,357,853	1,926,259
Bank Charges	473,747	181,346
TOTAL	3,831,600	2,107,605

SCHEDULE 16

ACCOUNTING POLICIES AND NOTES TO ACCOUNTS

A. SIGNIFICANT ACCOUNTING POLICIES

i) ACCOUNTING CONVENTION

The financial statements are prepared on accrual basis under the historical cost convention and are in accordance with the provisions of the Companies Act, 1956 and generally accepted accounting principles.

ii) USE OF ESTIMATES

The preparation of the financial statements in conformity with Indian GAAP requires that the management makes estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent liabilities as at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual result could differ from those estimates.

iii) REVENUE RECOGNITION

Software Development Service revenue on time and material contracts are recognized as per terms of the contract. Revenues on fixed-price contracts are recognized using the percentage completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost of the contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

Dividends from investments in shares are recognized when the owner's right to receive payment is established.

iv) FIXED ASSETS

Fixed Assets are stated at cost inclusive of incidental expenses, less accumulated depreciation. In respect of Fixed Assets acquired under Deferred Payment Schemes / Hire Purchase Schemes, the cost is exclusive of interest.

v) BORROWING COSTS

Borrowing Costs other than that attributable to a qualifying asset are expensed as and when incurred.

vi) DEPRECIATION/AMORTISATION

Depreciation on Fixed Assets has been provided on straight-line method, on pro-rata basis, at the following rates:

- (a) In respect of lease improvements, cost of improvements is written off over the primary period of lease.
- (b) Goodwill is amortised over its estimated useful life of 5 years (Refer Note B 3).
- (c) Other Fixed Assets have been depreciated on straight-line method basis at the rates specified in Schedule XIV of the Companies Act, 1956.

vii) INVESTMENTS

Long-term investments are carried at cost, and provision is made to recognise any decline, other than temporary, in the value of such investment. Cost of Investments acquired in exchange of Equity Shares is recognized on fair value principle.

viii) EMPLOYEE BENEFITS

- (a) Contribution in respect of Provident Fund is paid to the Provident Fund commissioner in accordance with the rules made under the Employees Provident Fund Act and charged against revenue.
- (b) Contributions in respect of Gratuity for the period is made on actuarial basis and paid to Group Gratuity Trust, which has taken Group Gratuity policies with Life Insurance Corporation of India.
- (c) Leave Encashment has been provided on actuarial basis.

ix) FOREIGN CURRENCY TRANSACTIONS

- (a) Transaction denominated in foreign currencies is normally recorded at the exchange rate prevailing at the time of the transaction. Any income or expenses on account of exchange difference either on settlement or at period-end is recognised in the Profit and Loss Account.
- (b) Foreign Currency transactions covered by forward contracts are recorded at forward contract rates. Forward exchange contracts are not intended for trading or speculation purpose. The premium or discount arising at inception of forward exchange contracts is amortised as expense or income over the life of the contract. Exchange differences on such contracts are recognised in the statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognised as income or as expense for the year.
- (c) Foreign currency monetary assets and liabilities not covered by forward contracts outstanding at the period end are restated at the rates ruling at the period end and exchange differences arising on such transaction are dealt with in the Profit and Loss account (except those relating to acquisition of Fixed Assets from outside India which are adjusted in cost of assets as per statute).

x) MISCELLANEOUS EXPENDITURE

Expenditure considered to be deferred revenue expenditure incurred before 1st April 2003 is amortised over a period of 5 years.

xi) LEASES

Assets acquired as leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases and the lease rentals thereon are charged to the Profit and Loss account on accrual basis.

xii) INCOME TAX

Income tax expense includes Current & Deferred, Indian & Overseas.

Certain items of income and expenses are not reported in tax returns and financial statements in the same period. The tax effect of this timing difference is reported as deferred income tax assets/liabilities. The tax effect is calculated on the accumulated timing differences at the end of the accounting period at the current enacted tax rates. Deferred tax assets relating to unabsorbed carry forward losses, depreciation and other timing differences are recognised only to the extent there is virtual certainty that the same can be realised in future and in respect of other items where there is reasonable certainty as to realization.

Fringe Benefit Tax provision has been made as per provisions of the Income Tax Act, 1961.

xiii) EMPLOYEE SHARE INCENTIVE SCHEME & STOCK OPTION PLANS

The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

The company introduced an employee stock option plan "Mindteck Employees Stock Option Scheme 2005" which is governed by the SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE STOCK PURCHASE SCHEME) GUIDELINES, 1999 (guidance). These options are accounted in accordance with the above guidelines and Guidance Note on Accounting for Employee Share-based payments issued by the Institute of Chartered Accountants of India (ICAI). The difference between the market price of the share underlying the options granted on the date of grant of option and the option price if any, is expensed as "Employees' Compensation" over the period of vesting.

xiv) CASH FLOW STATEMENT

Cash Flow Statement has been prepared in accordance with the indirect method prescribed in Accounting Standard 3 issued by the Institute of Chartered Accountants of India.

xv) PROVISIONS

A provision is recognised when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation,

in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

B. NOTES ON ACCOUNTS

1. BUSINESS COMBINATIONS AND INVESTMENTS IN WHOLLY OWNED SUBSIDIARIES (WOS)

- a) Pursuant to agreement and plan of merger dated April 1, 2005, Mindteck Consulting Inc., (MCI) a WOS of the Company, acquired Mindteck USA Inc, USA (MUI), a fellow subsidiary of the Company for a consideration of US\$ 2,848,260 which included taking over of all liabilities aggregating to \$ 2,848,260 and issuance of 992 shares of non-convertible preferred stock valued at \$992,000 to the sole shareholder of former Mindteck USA Inc.,

Subsequently, MCI changed its name to Mindteck USA Inc.,

Further, pursuant to an agreement and plan of merger dated March 31, 2006, Mindteck System Inc (MSI), a WOS of the Company merged into MUI. The consideration of US\$ 21,025 which included taking over of all liabilities of MSI aggregating to US\$15,725 and issuance of 1 share of MUI's common stock valued at US\$5,000 issued to the Company.

- b) During the year, pursuant to share purchase agreement dated 1st July 2005, the Company acquired all the common stock of 500 shares of par value of Bahrain Dirhams (BD) 100 each in Mindteck Middle East Ltd., SOC, a company incorporated as per the laws of Kingdom of Bahrain for an aggregated purchase price of US \$ 42,000.
- c) The company has also made investments in Mindteck BPO India Private Limited, Bangalore and Mindteck Software Malaysia SDN, BHD, Malaysia, which are wholly owned subsidiaries of the Company.

2. CONTINGENT LIABILITIES and COMMITMENTS

- a) Contingent Liabilities not provided for: Rs. 895,000/- (Previous period Rs. 420,000/-) In respect of Guarantees given by bank on behalf of Company.
- b) Estimated amount of Contracts pending to be executed on Capital Account (Net of Advances) is Rs. NIL (Previous period Rs. NIL)
- c) Claims against the company not acknowledged as debt Rs Nil (Previous period Rs. 311,786/-).
- d) Disputed Income Tax Demands Nil. (Previous period 13,419,686/-).

3. The Company, based on an internal assessment carried out at the year end, determined that the economic benefits out of the acquired goodwill carried in the books would have an estimated remaining useful of 5 years. Consequently and on approval of the Board, the Company has decided to amortise the goodwill over the said period of 5 years and accordingly an amortization of Rs. 1,400,000/- has been charged to Profit & loss account during the year.

4. Loans and Advances include an advance of Rs. 40,113,982/- (Previous Period Rs 40,113,982/-) given to Mindteck Employees Welfare Trust for repaying the debt availed by them for subscribing to the shares of the company. Mindteck Employees Welfare Trust has been set up primarily for the issuance of Equity Shares of the company to its employees under the Employee Share Incentive Scheme. This advance is guaranteed by an intermediary holding company.

5. The amount of Rs 304,273/- represents the unclaimed dividend for the period from 2001 to 2005. No part thereof has remained unpaid or unclaimed for a period of seven years from the date they became due for payment requiring a transfer to the Investor Education and Protection Fund.

6. EMPLOYEE SHARE INCENTIVE SCHEME AND STOCK OPTION PLAN

A) The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

B) During the current year the Company introduced 'Mindteck Employees Stock Option Scheme 2005' for the benefit of the employees, as approved by the Board of Directors in the meeting held on July 4, 2005 and Shareholders Meeting held on July 29, 2005. The Scheme provides for the creation and issue of 500,000 options that would eventually convert into equity shares of Rs.10/- each in the hands of the Company's employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options generally vest over a three year period and are exercisable during a maximum period of 5 years from the date of vesting. Accordingly, the Company granted 256,017 options on 12th September 2005 at the exercise price of Rs. 63.85 per share.

Option activity during the year under the plan is given as below

	For the year ended 31st March 2006
Options granted during the year	256,017
Exercised during the year	Nil
Forfeited during the year	20,700
Expired during the year	Nil
Options granted outstanding at the year end	235,317
Option Exercisable at the year end	Nil
Weighted Average Remaining contractual life (years) at the year end	4.47

The Company has accounted the above options using the intrinsic value method. As noted by the Compensation Committee, the exercise price has been determined at the closing price of the Company's shares traded on the BSE on the day prior to the date of grant of options and thus there is no stock compensation expenses under for the intrinsic value method for the options granted.

The guidance note issued by the Institute of Chartered Accountants of India requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted the option under fair value method, amortising the stock compensation expense there on over the vesting period, the reported profit for the year ended March 31, 2006 would have been lower by Rs. 880,627 and the Basic and diluted EPS would have been revised to Rs 2.14 & Rs 2.09 respectively.

The fair value of stock based awards to employees is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Black-Scholes option pricing model, considering the expected term of the options to be 4 years, an expected dividend rate of 10% on the underlying equity shares, volatility in the share price of 64% and a risk free rate of 7%. The Company's calculations are based on a single option valuation approach, and forfeitures are recognized as they occur. The expected volatility is based on historical volatility of the share price during the year after eliminating the abnormal price fluctuations.

7. INCOME TAXES

- Provision for Income Tax is made as per Minimum Alternate Tax Under section 115 JB for the Income Tax Act, 1961 as there is no taxable income as per regular computation.
- The timing difference relating mainly to depreciation and unabsorbed losses for the year ended 31st March 2006 results in Net Deferred Asset. As a measure of prudence, the Net Deferred Asset relating to the above have not been recognized in the accounts.

8. MANAGERIAL REMUNERATION

A: To Manager

	1 st April, 2005 to 31 st March, 2006	1 st April, 2004 to 31 st March, 2005
Salary and Allowances	4,326,368	3,074,409
Contribution to Provident Fund (& others)	162,000	121,500
Perquisites	-	65,767
	4,488,368	3,261,676

B: To Non Executive Director

	1 st April, 2005 to 31 st March, 2006	1 st April, 2004 to 31 st March, 2005
Remuneration to Non-Executive Directors	539,597	217,264
	539,597	217,264

The above remuneration has been approved by the Central Government.

9. REMUNERATION TO AUDITORS

	During the Year Ended on 31 st March, 2006	During the Year Ended on 31 st March, 2005
As auditors:		
Statutory Audit	575,000	400,000
Tax Accounts/ Tax Audit	50,000	50,000
Taxation Matters	250,000	-
Other Capacity Expenses	-	150,000
(Includes Service Tax)	139,951	68,645
Total	1,014,951	668,645

10. LEASES

Operating Leases

The company rents certain premises and equipments under operating lease arrangements. These leases have renewal option with a maximum escalation of 15% with other terms and conditions remaining the same.

The future minimum rental payments under non cancelable operating leases are as follows:

	As at 31st March, 2006	As at 31st March, 2005
(i) not later than one year	25061068	7732688
(ii) later than one year and not later than five years	68054757	Nil
(ii) later than five years	Nil	Nil

The leases rentals [(including maintenance cost of Rs 48,000/- (Previous Period Rs 48,000/-)] recognized in the accounts for the year is Rs. 18,337,246/- [Previous Period Rs 11,590,389/-].

11. RELATED PARTIES

Details of Related Parties where controls exist is as under:

1. Holding Company

- Transcompany Limited - Ultimate Holding Company
- Vanguard Investments Ltd. - Intermediary Holding Company
- Mindteck Holdings Ltd. - Intermediary Holding Company
- Business Holdings Ltd. - Intermediary Holding Company
- Garrington Investments Ltd. - Intermediary Holding Company
- Embtech Holdings Ltd. - Holding Company

2. Fellow Subsidiaries

- Mindteck UK Ltd.
- Mindteck Singapore Pte Ltd.
- Mindteck Kabushiki Kaisha
- Syncsoft Inc.
- Infotech Ventures Ltd, BVI.

3. Subsidiaries

- Mindteck USA Inc.
- Mindteck BPO Services Pvt Ltd.
- Mindteck Software Malaysia SDN, BHD.
- Mindteck Middle East SOC.

4. Key Managerial Personnel

- P. A. Ananthanarayanan – Manager/CEO

5. Transactions with Related Parties during the year

Transactions With Related Parties	Subsidiaries		Fellow Subsidiaries		Key Management Personnel		Total	
	31st Mar 06	31st Mar 05	31st Mar 06	31st Mar 05	31st Mar 06	31st Mar 05	31st Mar 06	31st Mar 05
Sales	155,272,020	8,830,987	3,471,309	92,580,027	-	-	158,743,329	101,411,014
Dividend received	9,660,230	-	-	-	-	-	9,660,230	-
Expenses/								
Reimbursement of Exp	594,750	79,355	389,851	231,076	-	-	984,601	310,437
Key Managerial Remuneration	-	-	-	-	4,488,368	3,261,676	4,488,368	3,261,676
Investments	5,346,572	-	-	-	-	-	5,346,572	-
Outstanding Balance:								
Due From								
- Receivables	76,019,127	4,667,930	6,084,774	56,436,025	-	-	82,103,901	61,103,951
- Advances	9,774,103	-	-	-	-	-	9,774,103	-
Due to	594,750	-	389,851	158,805	-	-	984,601	158,805

12. SEGMENT REPORTING

The Company is engaged in providing Software Services globally and is considered to constitute a single segment in the context of AS-17 on "Segment Reporting" issued by The Institute of Chartered Accountants of India. Geographical Segment constitutes the Secondary Segment of the Company

The Details of secondary segment of the company is as follows

	31-03-2006 (12 months) Rs.	31-03-2005 (12 months) Rs.
Revenue		
USA	182,374,528	100,497,383
Others	12,417,010	14,433,487
	194,791,538	114,930,870

13. On the basis of information available with the Company, as of 31st March, 2006 the Company had no outstanding dues to any small scale industrial undertaking including interest on delayed payments during the period to any supplier who is a small scale or ancillary industrial undertaking as defined under the "Interest on Delayed payments to small Scale & Ancillary Industrial Undertaking Act, 1993".

14. The details of provisions under AS 29 is given below.

SI No.	Nature of Expense	Expected period of Outflow	Opening Balance as on 01.04.2005	Additions	Utilisation/ reversal	Closing Balance as on 31.03.2006
1	Leave Encashment	-	1,629,293	2,279,750	876,756	3,032,287

15. Disclosure on Derivative Instruments

- a) Forward Exchange contracts, which are not intended for trading or speculative purposes, but for hedge purposes, to establish the amount of reporting currency required or available at the settlement date of certain payables and receivables, outstanding as on 31st March, 2006 are given below:

No. of contracts	Nature of hedge Buy/Sell	Currency	Amount (foreign currency)	Cross Currency	Amount Rupees
2	Sell	US Dollar	629,000	Indian Rupees	28,193,700

- b) Foreign Currency exposures as at March 31, 2006, that have not been hedged by a derivative instrument or otherwise:

Particulars	Amount (Rs)	Amount (Foreign Currency)
Due from:		
Debtors against export of services / goods	i) 62,664,841	i) USD 1,404,411
	ii) 2,035,217	ii) GBP 26,232
Due to:		
- Creditors against import of goods and services (including for capital goods)	i) 594,750	i) USD 13,282
	ii) 389,851	ii) SGD 14,275

The above disclosures have been made consequent to an announcement by the institute of Chartered Accountants of India in December 2005, which is applicable to the financial periods ending on or 31st March 2006 and hence no comparative figures given.

16. Quantitative Details

The company is engaged in the development and maintenance of computer software. The production and sale of such software cannot be expressed in any generic unit. Hence, it is not possible to give the quantitative details of sales and certain information as required under paragraphs 3 and 4C of part II of Schedule VI of the Companies Act, 1956.

17. Information pursuant to 4D of part II of the Schedule VI of The Companies Act 1956.

	31-03-2006 Rs.	31-03-2005 Rs.
(a) C.I.F. value of imports (Cash basis):		
Capital Goods	5,149,829	2,076,018
(b) Expenditure in Foreign currency (Cash basis):		
Foreign Travel	8,636,445	5,421,847
Project Expenses	207,750	1,518,030
	8,844,195	6,939,877
(c) Earnings in Foreign Exchange (Accrual basis):		
Export of software services	192,499,969	105,971,144
Dividend from foreign subsidiary	9,660,230	Nil
	202,160,199	105,971,144

18. Previous Periods figures have been regrouped/ reclassified to conform with the current grouping/ classification.

Signature to Schedule 1 to 16

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place: Bangalore
Date: June 26, 2006

For and on behalf of the Board

K V Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Place: Bangalore
Date: June 26, 2006

P A Ananthanarayanan
Chief Executive Officer

P. Vidya Sagar
Company Secretary

Subrata Nag
Finance Controller

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31st 2006

	For the year ended 31-03-2006 Rupees	For the year ended 31-03-2005 Rupees
CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit / (Loss) before taxation and extraordinary items	23,387,727	8,895,680
ADJUSTMENTS FOR		
Depreciation	8,705,279	6,566,896
Interest and Financial Charges	3,831,600	2,107,605
Excess Provision Written back	(461,359)	(996,756)
Net Loss on sale of Assets	224,094	594,355
Foreign Exchange fluctuation	(794,031)	(1,670,755)
Miscellaneous Expenditure Written off	183,351	183,352
Bad Debts Written Off	465,697	50,070
Dividend Income	(9,660,230)	-
Interest Income	(602,153)	(1,163,246)
	1,892,248	5,671,521
	25,279,975	14,567,201
Operating Profit before Working Capital changes		
ADJUSTMENTS FOR		
Trade and other receivables	(34,540,786)	(17,040,347)
Trade Payables	8,000,850	(1,264,348)
	(26,539,936)	(18,304,695)
Cash generated from Operations	(1,259,961)	(3,737,494)
Foreign Exchange fluctuation	794,031	1,670,755
Income Taxes Paid	(847,300)	
	(53,269)	1,670,755
Net Cash from operating activities (A)	(1,313,230)	(2,066,739)
CASH FLOW FROM INVESTING ACTIVITIES		
Fixed Assets Sold	110,000	75,506
Fixed Assets Purchased	(16,450,120)	(4,220,257)
Investment in Subsidiaries	(5,346,572)	-
Interest received	882,295	1,558,950
	(20,804,397)	(2,585,801)
Net cash used in investing activities (B)	(20,804,397)	(2,585,801)
CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from :		
Interest paid	(3,831,600)	(2,107,605)
Increase/(Decrease) in Secured loan	15,858,033	(458,589)
Dividend Payout and Corporate Tax paid	(6,533,221)	(1,707)
Net cash used in Financing activities (C)	5,493,212	(2,567,901)
Net Increase / (Decrease) in cash (A + B + C)	(16,624,415)	(7,220,441)
Cash and Bank Balance as on 1st Apr, 2005 (Opening Balance)	23,447,169	30,667,610
Cash and Bank Balance as on 31st Mar, 2006 (Closing Balance)	6,822,754	23,447,169

Note:

- 1) The above cash flow statement has been prepared under the indirect method as set out in the Accounting Standard 3 on cash flow statement issued by ICAI
- 2) Cash & Cash equivalent include balances with Scheduled Banks on Dividend Accounts of Rs 304,273/ and Fixed Deposits of Rs. 5,000,000/- pledged for secured loans, which are not available for use by the Company.
- 3) Cash and Cash Equivalents at the year end includes (Rs 5,794/-)[Previous Year (Rs 300/-)] on account of restatement of foreign currency balances.

As per our report of even date attached

For Deloitte Haskins & Sells
Chartered Accountants

S Ganesh
Partner

Place: Bangalore
Date: June 26, 2006

For and on behalf of the Board

K V Aiyappan
Chairman

M G Ved
Director

Satish Menon
Director

Place: Bangalore
Date: June 26, 2006

P A Ananthanarayanan
Chief Executive Officer

P. Vidya Sagar
Company Secretary

Subrata Nag
Finance Controller

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE AS PER SCHEDULE VI, PART - (IV) OF THE COMPANIES ACT, 1956

I. Registration Details

Registration No.	11-62649 of 1991
State Code	11
Balance Sheet Date	31.03.2006

II. Capital raised during the year

(Amount in Rs. Thousands)

Public Issue	NIL
Rights Issue **	** ->Includes Premium NIL
Bonus Issue	NIL
Private Placement **	** ->Includes Premium NIL

III. Position of Mobilisation and Deployment of Funds

Total Liabilities	278,032
Total Assets	278,032
Sources of Funds	
Paid up Capital	97,256
Reserve & Surplus	111,568
Secured Loans	35,694
Unsecured Loans	0
Application of Funds	
Net Fixed Assets	44,436
Investments	62,943
Net Current Assets	137,108
Misc Expenditure	31
Accumulated Losses	NIL

IV Performance of the Company

Turnover	207,176
Total Expenditure	183,788
Profit Before Tax	23,388
Profit after Tax	21,692
Earnings per Share (Rs.)	2.18
Dividend Rate	

V. Generic Name of Principal Products/Services of the Company

Item Code (ITC Code)	8524
Product Description	Computer Software

For and on behalf of the Board

K V Aiyappan

Chairman

M G Ved

Director

Satish Menon

Director

Place: Bangalore

Date: June 26, 2006

P A Ananthanarayanan

Chief Executive Officer

P. Vidya Sagar

Company Secretary

Subrata Nag

Finance Controller

Place: Bangalore

Date: June 26, 2006

AUDITOR'S REPORT TO THE BOARD OF DIRECTORS ON THE CONSOLIDATED FINANCIAL STATEMENT OF MINDTECK (INDIA) LIMITED AND ITS SUBSIDIARIES

1. We have examined the attached consolidated balance sheet of MINDTECK (INDIA) LIMITED and its subsidiaries as at 31st March 2006, also the Consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Mindteck (India) Limited's management and have been prepared by the management on the basis of separate financial statements and other financial information regarding components. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. We did not audit the financial statements of certain subsidiaries, whose financial statements reflect total assets of Rs. 380,690,397 as at 31st March 2006 and total revenues of Rs. 404,131,832 and net cash inflows amounting to Rs. 15,714,706 for the year then ended on that date. These financial statements and other financial information has been audited by other auditors whose reports have been furnished to us, and our opinion is based solely on the report of the other auditors.
4. The financial statements of certain subsidiaries, whose financial statements reflect total assets of Rs.73,705,254 as at March 31, 2006, total revenues of Rs. Nil and net cash inflow amounting to Rs. 500,000 for the year ended on that date have not been audited but consolidated on the basis of unaudited financial statements.
5. Based on our audit and on consideration of reports of other auditors on separate financial statements/management certification and on the other financial information of the components and to the best of our information and explanation given to us, we are of the opinion that the attached consolidated financial statements, give a true and fair view in conformity with accounting principles generally accepted in India:
 - (a) in case of the Consolidated Balance Sheet, of the state of affairs of the Mindteck India Limited and its subsidiaries as at 31st March 2006;
 - (b) in case of the Consolidated Profit and Loss Account, of the profit for the year that date; and
 - (c) in case of the Consolidated Cash flow Statement, of the cash flows of the year ended on that date.

for Deloitte Haskins & Sells
Chartered Accountants

S.Ganesh
Partner

Bangalore
June 26, 2006

M. No.: 204108

CONSOLIDATED BALANCE SHEET AS AT 31st MARCH 2006

Schedule			As At	As At
			31-03-2006	31-03-2005
			Rupees	Rupees
SOURCES OF FUNDS :				
SHAREHOLDERS FUNDS :				
Share Capital	1		97,255,640	97,255,640
Preference Shares Issued by Subsidiary	2		44,124,160	-
Reserves & Surplus	3		106,194,855	106,194,855
Capital Reserve Arising on Consolidation			46,064,119	47,584,783
LOAN FUNDS :				
Secured Loans	4		35,694,050	27,300,718
Unsecured Loans	5		117,149,475	-
TOTAL			446,482,299	278,335,996
APPLICATION OF FUNDS :				
Goodwill on Consolidation			8,392,912	-
FIXED ASSETS	6			
Gross Block		342,883,764		83,187,062
Less : Depreciation		50,655,766		38,477,961
Net Block			292,227,998	44,709,101
Capital Work in Progress (at cost, including advances)			556,671	251,427
			292,784,669	44,960,528
CURRENT ASSETS, LOANS AND ADVANCES				
Interest Accrued but not Due		22,748		302,891
Sundry Debtors	7	165,561,400		132,460,696
Cash & Bank Balances	8	25,557,860		24,870,348
Loans & Advances	9	100,400,271		58,504,726
			291,542,279	216,138,661
LESS : CURRENT LIABILITIES AND PROVISIONS				
Current Liabilities	10	190,948,176		42,269,729
Provisions		19,405,839		11,503,990
			210,354,015	53,773,719
NET CURRENTS ASSETS			81,188,264	162,364,941
MISCELLANEOUS EXPENDITURE	11		30,560	213,911
[To the extent not written off]				
Debit Balance in Profit & Loss Account			64,085,894	70,796,615
TOTAL			446,482,299	278,335,996
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS				
The schedules referred to above form an integral part of the accounts				

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants**S Ganesh**
Partner

For and on behalf of the Board

K V Aiyappan
Chairman**M. G. Ved**
Director**Satish Menon**
Director**P A Ananthanarayanan**
Chief Executive Officer**P. Vidya Sagar**
Company Secretary**Subrata Nag**
Finance ControllerPlace: Bangalore
Date: June 26, 2006Place: Bangalore
Date: June 26, 2006

CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31st MARCH 2006

	Schedule	Rupees	Year ended 31-03-2006 Rupees	Year ended 31-03-2005 Rupees
INCOME				
Income from Operations	12		438,299,844	346,830,791
Other Income	13		7,797,686	4,858,634
TOTAL			446,097,530	351,689,425
EXPENDITURE				
Manpower Costs	14	309,599,135		263,805,881
Operating and Administration Expenses	15	95,794,828		60,824,884
			405,393,963	324,630,765
Financial Charges	16		5,235,236	4,369,974
Depreciation	6		9,433,891	7,551,957
Miscellaneous Expenditure Written off			183,351	183,352
Exchange Conversion Difference			5,589,183	(143,399)
TOTAL			425,835,624	336,592,649
Profit/(Loss) before Taxation and Extraordinary items			20,261,906	15,096,776
Exceptional Item - Diminution in Value of Investment			-	-
Profit/(Loss) before Taxation			20,261,906	15,096,776
Taxation				
- Provision for Current Year			1,431,467	817,224
- Deferred Taxes (Note B 9)			-	-
- Fringe Benefit Tax			790,672	-
Net Profit/(Loss) after Taxation			18,039,767	14,279,552
Surplus/(Deficit) brought forward from previous year			(70,796,615)	(78,422,423)
Surplus in the opening balance arising out of the merger of MSI with MUI			2,448,224	-
Balance Available for Appropriation			(50,308,624)	(64,142,871)
Appropriation :				
Proposed Dividend			9,725,564	5,835,338
Proposed Dividend by Subsidiary on Preference Shares			2,687,696	-
Corporate Dividend Tax			1,364,010	818,406
Balance Carried to Balance Sheet			(64,085,894)	(70,796,615)
			(50,308,624)	(64,142,871)
- Weighted average number of equity shares - basic			9,725,564	9,725,564
- Weighted average number of equity shares - diluted			9,960,881	9,725,564
- Earnings per Share of Equity Share of Rs. 10 each -Basic			1.85	1.47
- Earnings per Share of Equity Share of Rs. 10 each -Diluted			1.81	1.47
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	17			
The schedules referred to above form an integral part of the accounts				

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

For and on behalf of the Board

K V Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

P A Ananthanarayanan
Chief Executive Officer

P. Vidya Sagar
Company Secretary

Subrata Nag
Finance Controller

Place: Bangalore
Date: June 26, 2006

Place: Bangalore
Date: June 26, 2006

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET

	Rupees	As at 31-03-2006 Rupees	As at 31-03-2005 Rupees
SCHEDULE - 1			
SHARE CAPITAL			
AUTHORISED			
15,000,000 Equity Shares (Previous Year 15,000,000) of Rs. 10/- each		150,000,000	150,000,000
500,000 Cumulative Non-Convertible Redeemable Preference Shares (Previous Year 500,000) of Rs. 100/- each		50,000,000	50,000,000
TOTAL		200,000,000	200,000,000
ISSUED, SUBSCRIBED AND PAID UP			
9,725,564 Equity Shares (Previous Year 9,725,564) of Rs. 10/- each fully paid up of the above,		97,255,640	97,255,640
1. 251,680 Equity Shares (Previous Year 251,680) of Rs. 10/- each are allotted for consideration other than cash to the Shareholders of erstwhile Nicco Infotech Ltd pursuant to the amalgamation			
2. 2,850,000 Equity Shares (Previous Year 2,850,000) of Rs. 10/- each are allotted as fully paid up for Consideration other than cash			
3. a. 7,377,257 Equity shares (Previous Year 7,397,257) are held by Embtech Holding Limited, Marutius the holding company			
b. 416,000 Equity Shares (Previous Year 416,000) are held by Mindteck Employees Welfare Trust			
TOTAL		97,255,640	97,255,640
SCHEDULE -2			
PREFERENCE SHARES ISSUED BY SUBSIDIARY			
AUTHORISED			
2000 Non Cumulative Non Convertible Preference Shares (Previous Year Nil) of \$ 1000 each		89,360,000	-
TOTAL		89,360,000	-
ISSUED SUBSCRIBED AND PAID UP			
992 Non Cumulative Non Convertible Preference Shares (Previous Year Nil) of \$ 1000 each		44,124,160	-
TOTAL		44,124,160	-
SCHEDULE - 3			
RESERVES & SURPLUS			
Capital Reserve			
Opening Balance		42,602,609	42,602,609
		42,602,609	42,602,609
Securities Premium			
Opening Balance		63,092,246	63,092,246
		63,092,246	63,092,246
General Reserve			
Opening Balance		500,000	500,000
		500,000	500,000
TOTAL		106,194,855	106,194,855
SCHEDULE - 4			
SECURED LOANS			
Cash Credit Facilities from Banks		35,694,050	27,300,718
(Secured against Fixed Deposits aggregating Rs 5,000,000/- (P Y Rs 20,000,000/-) with UTI Bank Ltd and a first charge on Building at Kolkatta and Book Debts of the Company)			
TOTAL		35,694,050	27,300,718
SCHEDULE - 5			
UNSECURED LOANS			
Loans from Banks		111,950,000	-
Loans Other than Banks			
- To Related Parties		5,199,475	-
- Other Loans		-	-
TOTAL		117,149,475	-

SCHEDULE 6 FIXED ASSETS SCHEDULE

	GROSS BLOCK (AT COST)					DEPRECIATION					NET BLOCK		
	As on 01.04.2006	Acquisitions During the Year	Opening Balance	Additions during the period	Deletions	As at 31.03.2006	As at 01.04.2006	Acquisitions During the Year	Opening Balance	Additions during the period	Deletions	As at 31.03.2006	As At 31.03.2005
INTANGIBLE ASSETS: Goodwill (On acquisition, refer Note B 5)	14,114,566	-	14,114,566	240,467,187	-	254,581,752	-	-	-	1,400,000	-	253,181,752	14,114,566
TANGIBLE ASSETS:													
COMPUTER EQUIPMENTS (INCL. SOFTWARE)	44,312,803	2,921,690	47,234,393	11,778,184	-	59,012,577	30,669,170	2,717,000	33,386,170	6,430,027	-	19,196,380	13,643,633
OFFICE EQUIPMENTS	4,432,810	218,888	4,651,698	3,527,539	-	8,179,235	1,386,238	9,767	1,406,005	462,716	-	1,898,721	3,036,572
FURNITURE & FIXTURES	9,270,318	240,729	9,516,047	477,500	-	9,993,547	5,122,095	194,839	5,306,934	920,964	-	3,706,949	4,148,223
VEHICLES	601,787	-	601,787	-	501,787	-	146,405	-	146,405	21,288	167,693	-	365,392
OTHER EQUIPMENTS	398,229	-	398,229	581,874	-	980,103	140,967	-	140,967	33,745	-	795,391	257,262
LEASE HOLDINGS	10,156,520	-	10,156,520	-	-	10,156,520	1,003,086	-	1,003,086	169,551	-	1,168,637	8,153,634
	83,187,062	3,360,295	86,573,269	256,812,294	501,787	342,863,764	38,477,941	2,911,406	41,389,567	9,433,891	167,693	50,655,746	44,709,191
PREVIOUS YEAR	82,222,112	-	82,222,112	4,107,053	3,142,703	83,187,062	33,357,854	-	33,357,854	7,551,957	2,431,860	38,477,961	44,709,101

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET

	Rupees	As at 31-03-2006 Rupees	As at 31-03-2005 Rupees
SCHEDULE - 7			
SUNDRY DEBTORS (Unsecured)			
A	Debts Outstanding for a period exceeding six months		
	Considered good	1,072,528	3,216,092
	Considered doubtful	5,069,649	275,000
B	Others Debts	164,488,872	131,631,832
		170,631,049	135,122,924
Less:	Provision For Doubtful Debts	(5,069,649)	(2,662,228)
TOTAL		165,561,400	132,460,696
SCHEDULE - 8			
CASH AND BANK BALANCES			
	Cash on Hand	294,599	245,546
	Balances with Banks:		
	In Current Accounts	19,832,617	4,619,802
	In Deposit Accounts	5,430,644	20,005,000
	(Pledged for margin money Rs. 1,60,543 (Previous Year Rs. 1,60,543/-) with Banks and Government Authorities)		
	[Pledged for Secured Loans Rs 5,000,000 (Previous Year 20,000,000)]	-	
TOTAL		25,557,860	24,870,348
SCHEDULE - 9			
LOANS AND ADVANCES			
(Unsecured, considered Good, unless otherwise stated)			
	Advances recoverable in cash or kind or for value to be received		
	Mindteck Employees Welfare Trust [Note B 2]	40,113,982	40,113,982
	Due from Related Companies	31,941,072	-
	Due from Others	3,381,279	-
	Advance to Staff	3,249,043	2,726,877
	Advance to Suppliers	132,792	28,687
	Prepaid Expenses	2,061,761	1,628,554
	Advance Income Tax and Tax deducted at source	3,929,750	2,904,954
	Deposits - with Government Bodies	464,120	432,102
	Deposits - Others	14,926,472	10,669,570
TOTAL		100,400,271	58,504,726
SCHEDULE - 10			
CURRENT LIABILITIES AND PROVISIONS			
Current Liabilities			
	Sundry Creditors / Acceptance (Net) -Capital	-	338,000
	Sundry Creditors / Acceptance (Net) -Others	67,281,737	32,707,119
	Deposits	828,200	828,200
	Due to Related Parties	28,641,404	163,565
	Unclaimed Dividends [Note B 7]	304,273	183,749
	Share Application Refund Account	6,575	6,575
	Others Liabilities	93,885,987	8,042,521
		190,948,176	42,269,729
Provisions			
	Provision for Leave Encashment [Note B 14]	3,032,287	3,158,964
	Proposed Dividend	9,725,564	5,835,338
	Proposed Dividend on Preference Shares issued by Subsidiary	2,687,696	-
	Provision for Corporate Dividend Tax	1,364,010	818,406
	Provision for Taxation	2,596,282	1,691,282
	Provision for Fringe Benefit Tax [FBT]	790,672	-
	Less: Advance FBT	790,672	-
		19,405,839	11,503,990
TOTAL		210,354,015	47,119,975
SCHEDULE - 11			
MISCELLANEOUS EXPENDITURE			
[To the extent not written off or adjusted]			
	Opening Balance/Amalgamation Expenses during the year	213,911	397,263
	Less : Written/Amortised off during the year	183,351	183,352
	[Note 1(x)]		
		30,560	213,911

SCHEDULES ANNEXED TO AND FORMING PART OF THE CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31.03.2006.

	Year ended 31-03-2006 Rupees	Year ended 31-03-2005 Rupees
SCHEDULE 12		
INCOME FROM OPERATIONAL ACTIVITIES		
Income from Software Services	438,299,844	346,830,791
TOTAL	438,299,844	346,830,791
SCHEDULE 13		
OTHER INCOME		
Interest from banks (Gross)	752,104	1,121,354
(Total tax deducted at source Rs. 118,139/- Previous Year Rs.218,991/-)	-	-
Interest on Income Tax Refund	62,714	120,364
Miscellaneous Income	38,727	259,253
Provision No Longer Required Written back	5,112,070	996,756
Rent Received	828,180	690,152
Exchange Fluctuation	1,003,891	1,670,755
TOTAL	7,797,686	4,858,634
TOTAL INCOME	446,097,530	351,689,425
SCHEDULE 14		
MANPOWER COSTS		
Salaries and Allowance	300,190,939	257,518,516
Companies Contribution to Provident Fund and Other Funds	4,820,190	2,956,407
Staff Welfare Expenses	1,941,208	911,913
Consultancy Charges	2,646,798	2,419,045
TOTAL	309,599,135	263,805,881
SCHEDULE 15		
OPERATING & ADMINISTRATION EXPENSES		
Rent [Note B 11]	22,274,363	13,907,258
Leasing and Hiring charges	3,225,600	850,155
Rates & Taxes	1,056,137	771,455
Insurance Premium	2,982,649	13,519,095
Telephone, Telex and Postage	7,747,207	5,686,377
Electricity	3,685,661	2,698,713
Travelling Expenses	25,955,461	5,985,566
Repairs and Maintenance		
- Computer	911,229	710,658
- Others	1,561,582	742,541
Professional Charges	8,452,261	8,171,320
Remuneration to Non Executive Director	539,597	217,264
Remuneration to Auditors	1,024,461	668,645
Printing & Stationery	1,441,589	575,632
Miscellaneous Expenses	10,819,797	3,010,113
Membership & Subscription	1,176,315	992,101
Recruitments Expenses	1,727,806	1,673,565
Loss on Sale/Discarded Fixed Asset	224,094	594,355
Foreign Exchange Fluctuation (Net)	73,512	-
Bad Debts Written Off	915,507	50,070
TOTAL	95,794,828	60,824,884
SCHEDULE 16		
FINANCIAL CHARGES		
Interest		
On TOD	4,321,494	3,301,254
Bank Charges	913,742	1,068,720
TOTAL	5,235,236	4,369,974

SCHEDULE 17: ACCOUNTING POLICIES AND NOTES TO ACCOUNTS FORMING PART OF THE CONSOLIDATED BALANCE SHEET AND PROFIT AND LOSS ACCOUNT

A. SIGNIFICANT ACCOUNTING POLICIES

i) BASIS OF ACCOUNTING/BASIS OF PREPARATION OF FINANCIAL STATEMENT

The Company maintains its accounts on accrual basis following the historical cost convention in accordance with generally accepted accounting principles (GAAP) except for the revaluation of certain fixed assets, and in compliance with the Accounting Standards referred to in Section 211(3C) and other requirements of the Companies Act, 1956.

The preparation of financial statements in conformity with GAAP requires that the management of the company makes estimates and assumptions that affect the reported amounts of income and expenses of the period, the reported balances of assets and liabilities and the disclosures relating to contingent liabilities as of the date of the financial statements. Examples of such estimates include the useful lives of fixed assets, provision of doubtful debts/ advances, future obligations in respect of retirement benefit plans etc., Actual results could differ from these estimates

The accounts of the foreign subsidiaries have been prepared in compliance with the local laws and applicable Accounting Standards.

ii) PRINCIPLES OF CONSOLIDATION

The consolidated financial statements comprise the financial statements of Mindteck (India) Limited ("the Company") and its wholly owned Subsidiaries (WOS) being foreign companies; (a) Mindteck USA Inc., USA ("MUI") (formerly known as Mindteck Consulting Inc., USA); (b) Mindteck Software Malaysia SDN. BHD; (c) Mindteck Middle East Ltd SPC; (d) ISS Consultants Inc. (Unaudited) and the Indian Company Mindteck BPO Services Pvt Ltd (Unaudited)

During the year, the Company has acquired Mindteck Middle East Ltd., SPC (MME), a company incorporated as per the laws of Kingdom of Bahrain and made investment in start up WOS, Mindteck BPO India Private Limited, Bangalore and Mindteck Software Malaysia SDN, BHD, Malaysia. For the purpose of consolidation the results of MME have been allocated between pre-acquisition and post-acquisition date i.e., July 11, 2005 on a proportionate basis estimated by the Management.

Also during the year, MCI acquired Mindteck USA Inc., USA, a fellow subsidiary of the Company and MSI an erstwhile subsidiary of the Company. Subsequent to acquisition MCI has changed its name to Mindteck USA Inc., (MUI) (Refer Note B)

During the year, MUI (formerly MCI) has also acquired ISS Consultants Inc., USA. (Refer Note B 1). The unaudited financial statements of ISS Consultants Inc has been directly consolidated in these financial statements.

The financial statements have been consolidated on a line-by-line basis by adding together the book values of like items of assets, liabilities, income and expenses, after eliminating

intra-group balances and the unrealized profits/losses on intra-group transactions.

iii) REPORTING DATES OF SUBSIDIARY FOR CONSOLIDATION

For the purpose of preparing these statements the financials of the parent and its subsidiaries Mindteck USA Inc, ISS Consultants Inc, Mindteck BPO Services Pvt Ltd, Mindteck Software Malaysia SDN. BHD & Mindteck Middle East Ltd SPC for the period 1st April 2005 to 31st March 2006 is considered.

iv) USE OF ESTIMATES

The preparation of the financial statements in conformity with Indian GAAP requires that the management makes estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent liabilities as at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual result could differ from those estimates.

v) REVENUE RECOGNITION

Software Development Service revenue on time and material contracts are recognized as per the terms of the contract. Revenues on fixed-price contracts are recognized using the percentage completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost of the contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

Dividends from investments in shares are recognized when the owner's right to receive payment is established.

vi) FIXED ASSETS

Fixed Assets are stated at cost inclusive of incidental expenses, less accumulated depreciation. In respect of Fixed Assets acquired under Deferred Payment Schemes / Hire Purchase Schemes, the cost is exclusive of interest.

vii) BORROWING COSTS

Borrowing Costs other than that attributable to a qualifying asset are expensed as and when incurred.

viii) DEPRECIATION /AMORTISATION

Indian Company

Depreciation on Fixed Assets has been provided on straight-line method, on pro-rata basis, at the following rates:

- (a) In respect of lease improvements, cost of improvements is written off over the primary period of lease.
- (b) Goodwill is amortised over its estimated useful life of 5 years (Refer Note B 3).

- (c) Other Fixed Assets have been depreciated on straight-line method basis at the rates specified in Schedule XIV of the Companies Act, 1956.

Foreign Companies

Depreciation has been provided by the foreign companies on methods and at the rates required/permissible by the local laws so as to write off the assets over their useful lives.

ix) INVESTMENTS

Long-term investments are carried at cost, and provision is made to recognise any decline, other than temporary, in the value of such investment.

x) EMPLOYEE BENEFITS

Indian Company

- (a) Contribution in respect of Provident Fund is paid to the Provident Fund commissioner in accordance with the rules made under the Employees Provident Fund Act and charged against revenue.
- (b) Contributions in respect of Gratuity for the period is made on actuarial basis and paid to Group Gratuity Trust, which has taken Group Gratuity policies with Life Insurance Corporation of India.
- (c) Leave Encashment has been provided on actuarial basis.

Foreign Companies

Foreign Companies provide for retirement benefits in accordance with the applicable local laws.

xi) FOREIGN CURRENCY TRANSACTIONS

Transaction denominated in foreign currencies is normally recorded at the exchange rate prevailing at the time of the transaction. Any income or expenses on account of exchange difference either on settlement or at period-end is recognised in the Profit and Loss Account.

Foreign Currency transactions covered by forward contracts are recorded at forward contract rates. Forward exchange contracts are not intended for trading or speculation purpose. The premium or discount arising at inception of forward exchange contracts is amortised as expense or income over the life of the contract. Exchange differences on such contracts are recognised in the statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognised as income or as expense for the year.

Foreign currency monetary assets and liabilities not covered by forward contracts outstanding at the period end are restated at the rates ruling at the period end and exchange differences arising on such transaction are dealt with in the Profit and Loss account (except those relating to acquisition

of Fixed Assets from outside India which are adjusted in cost of assets).

Foreign Currency transactions at US office are translated into rupees at various exchange rates as under:

- Fixed assets at the rates prevailing on transaction date.
- Income and Expenditure at the average rate of exchange.
- Current Assets and Current Liabilities at the exchange rates prevailing on the Balance Sheet date.

xii) MISCELLANEOUS EXPENDITURE

Expenditure considered to be deferred revenue expenditure incurred before 1st April 2003 is amortised over a period of 5 years.

xiii) LEASES

Assets acquired as leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss account on accrual basis.

xiv) INCOME TAX

Indian Company

Income tax expense includes Indian and international income taxes. Certain items of income and expenses are not reported in tax returns and financial statements in the same period. The tax effect of this timing difference is reported as deferred income tax assets/liabilities. The tax effect is calculated on the accumulated timing differences at the end of the accounting period at the current enacted tax rates. Deferred tax assets relating to unabsorbed carry forward losses and depreciation are recognised only to the extent there is virtual certainty that the same can be realised in future and in respect of other items where there is reasonable certainty as to realisation.

Fringe Benefit Tax provision has been made as per provisions of the Income Tax Act, 1961.

Foreign Companies

Foreign companies recognize tax liabilities and assets in accordance with the applicable local laws.

xv) EMPLOYEES SHARE INCENTIVE SCHEME & STOCK OPTION PLAN

The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company

has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

The company introduced an employee stock option plan "Mindteck Employees Stock Option Scheme 2005" which is governed by the SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE STOCK PURCHASE SCHEME) GUIDELINES, 1999 (guidance). These options are accounted in accordance with the above guidelines and Guidance Note on Accounting for Employee Share-based payments issued by the Institute of Chartered Accountants of India (ICAI). The difference between the market price of the share underlying the options granted on the date of grant of option and the option price if any, is expensed as "Employees' Compensation" over the period of vesting.

xvi) GOODWILL CAPITAL RESERVE

Goodwill represents the difference between the Group's share in the net worth of a subsidiary and the cost of acquisition at each point of time of making the investment in the subsidiary. Negative goodwill is shown separately as Capital Reserves on Consolidation. Goodwill arising on consolidation is not amortized.

Foreign Companies

The Company evaluates the recoverability of goodwill on an annual basis or as otherwise required under Statement of Accounting Standards ("SFAS") No. 142, "Goodwill and Other Intangible Assets". "SFAS 142 addresses the financial accounting and reporting for acquired goodwill and other intangible assets. Under SFAS 142, goodwill and intangible assets that have indefinite lives are not amortized, but rather are tested at least annually for impairment. Intangible assets that have finite useful lives continue to be amortized over their useful lives. As a result of its annual impairment testing, the Company has determined that no impairment adjustment was necessary for the period reported in these financial statements.

xvii) CASH FLOW STATEMENT

Cash Flow Statement has been prepared in accordance with the indirect method prescribed in Accounting Standard 3 issued by the ICAI.

xix) PROVISIONS

A provision is recognised when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

B. NOTES ON ACCOUNTS

1. BUSINESS COMBINATIONS AND INVESTMENTS IN WHOLLY OWNED SUBSIDIARIES (WOS)

- a) Pursuant to agreement and plan of merger dated April 1, 2005, Mindteck Consulting Inc., (MCI) a WOS of the Company, acquired Mindteck USA Inc, USA (MUI), a fellow subsidiary of the Company for a consideration of US\$ 2,848,260 which included taking over of all liabilities aggregating to \$ 2,848,260 and issuance of 992 shares of non-convertible preferred stock valued at \$992,000 to the sole shareholder of former Mindteck USA Inc. Subsequent to acquisition, MCI changed its name to Mindteck USA Inc.,

Also, pursuant to a stock purchase agreement dated March 28th, 2006, MUI acquired all of the outstanding common stock of ISS Consultants, Inc. –an entity formed under the laws of the state of Texas. The acquisition was effected for the purpose of expanding the Company's market reach and its customer base.

The aggregate acquisition price was \$ 4,066,767 of which \$ 2,200,000 was paid in cash at closing, \$470,815 is payable in cash within one year, \$ 595,952 is acquisition cost which is payable after closing and \$ 800,000 is payable in installments upon earning certain earn-out targets.

Also, pursuant to an agreement and plan of merger dated March 31, 2006, Mindteck System Inc (MSI), a WOS of the Company merged into MUI. The consideration of US\$ 21,025 which included taking over of all liabilities of MSI aggregating to US\$15,725 and issuance of 1 share of MUI's common stock valued at US\$5,000 issued to the Company.

- b) During the year, pursuant to share purchase agreement dated 1st July 2005, the Company acquired all the common stock of 500 shares of par value of Bahrain Dirhams (BD) 100 each in Mindteck Middle East Ltd., SPC, a company incorporated as per the laws of Kingdom of Bahrain for an aggregated purchase price of US \$ 42,000. The acquisition consummate on July 11th 2005.
- c) The company has also made investments in Mindteck BPO India Private Limited, Bangalore and Mindteck Software Malaysia SDN, BHD, Malaysia, which are wholly owned subsidiaries of the Company.

2. CONTINGENT LIABILITIES AND COMMITMENTS

- a) Contingent Liabilities not provided for: Rs. 895,000/ (Previous Period Rs 420,000/-) In respect of Guarantees given by bank on behalf of Company.
- b) Estimated amount of Contracts pending to be executed on Capital Account (Net of Advances) is Rs. NIL (Previous period Rs. NIL)

- c) Claims against the company not acknowledged as debt Rs Nil (Previous period Rs 311,786/-).
- d) Disputed Income Tax Demands Nil. (Previous period 13,419,686/-).
- 3. MUI has occasionally on deposit with a New Jersey bank amounts in excess of the maximum FDIC coverage of \$ 100,000. Management monitors the soundness of the institution and considers the Company's risk negligible.
- 4. MUI has a term loan with a bank expiring on September 25, 2006 for \$ 2,500,000. The interest on term loan was at the rate of 6% per annum. The loan was for the purpose of funding the purchase of 100% of the shares of stock in ISS consultants, Inc. As of March 31, 2006 the outstanding balance was \$ 2,500,000. The loan was subsequently repaid on April 17, 2006.

5. GOODWILL

Indian Company

Based on an internal assessment carried out at the year end, determined that the economic benefits out of the acquired goodwill carried in the books would continue during the minimum estimated period of 5 years commencing from the year ended March 31, 2006. Consequently and on approval of the Board, the Company has decided to amortise the goodwill over the said period of 5 years and accordingly an additional amortization of Rs. 1,400,000/- has been charged to Profit & loss account during the year.

Foreign Company

During the year Goodwill arising on acquisitions of Mindteck USA Inc, Mindteck Systems Inc and ISS Consultants Inc. aggregated to Rs 240,467,187/-.

- 6. Loans and Advances include an advance of Rs. 40,113,982/- (Previous Period Rs. 40,113,982/-) given to Mindteck Employees Welfare Trust for repaying the debt availed by them for subscribing to the shares of the company. Mindteck Employees Welfare Trust has been set up primarily for the issuance of Equity Shares of the company to its employees under the Employee Share Incentive Scheme. This advance is guaranteed by an intermediary holding company.
- 7. The amount of Rs 304,273/- represents the unclaimed dividend for the period from 2001 to 2005. No part thereof has remained unpaid or unclaimed for a period of seven years from the date they became due for payment requiring a transfer to the Investor Education and Protection Fund.

8. EMPLOYEE SHARE INCENTIVE SCHEME AND STOCK OPTION PLAN

- a) The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck

Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

- b) During the current year the Company introduced 'Mindteck Employees Stock Option Scheme 2005' for the benefit of the employees, as approved by the Board of Directors in the meeting held on July 4, 2005 and Shareholders Meeting held on July 29, 2005. The Scheme provides for the creation and issue of 500,000 options that would eventually convert into equity shares of Rs.10/- each in the hands of the Company's employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options generally vest over a three year period and are exercisable during a maximum period of 5 years from the date of vesting. Accordingly, the Company granted 256,017 options on 12th September 2005 at the exercise price of Rs. 63.85 per share.

Option activity during the year under the plan is given as below

	For the year ended 31st March 2006
Options granted during the year	256,017
Exercised during the year	Nil
Forfeited during the year	20,700
Expired during the year	Nil
Options granted outstanding at the year end	235,317
Option Exercisable at the year end	Nil
Weighted Average Remaining contractual life (years) at the year end	4.47

The Company has accounted the above options using the intrinsic value method. As noted by the Compensation Committee, the exercise price has been determined at the closing price of the Company's shares traded on the BSE on the day prior to the date of grant of options and thus there is no stock compensation expenses under for the intrinsic value method for the options granted.

The guidance note issued by the ICAI requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted the option under fair value method, amortising the stock compensation expense there on over the vesting period, the reported profit for the year ended March 31, 2006 would have been lower by Rs. 880,627 and the Basic and diluted EPS would have been revised to Rs 2.23 & Rs.2.18 respectively.

The fair value of stock based awards to employees is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Black-Scholes option pricing model, considering the expected term of the options to be 4 years, an expected dividend rate of 10% on the underlying equity shares, volatility in the share price of 64% and a risk free rate of 7%. The Company's calculations are based on a single option valuation approach, and forfeitures are recognized as they occur. The expected volatility is based on historical volatility of the share price during the year after eliminating the abnormal price fluctuations.

9. INCOME TAX

(a) Indian Company

Provision for Income Tax is made as per Minimum Alternate Tax Under section 115 JB for the Income Tax Act, 1961 as there is no taxable income as per regular computation.

The parent company's timing difference relating mainly to depreciation and unabsorbed losses up to the period ended 31st March 2006 results in Net Deferred Asset. As a measure of prudence the Net Deferred Asset relating to the above periods have not been recognized in the accounts keeping in view of the exemption available under section 10A of the Income Tax Act 1961 and in accordance to AS-22 "Accounting of Taxes Income"

(b) Foreign Company

The Subsidiary Company recognizes deferred income taxes using the liability method, whereby such deferred taxes are determined for differences between the carrying values of assets and liabilities for financial and tax reporting purposes.

Deferred tax liabilities result primarily from tax and financial reporting difference in property and equipment and from net operating losses that are available to offset future taxable income. Valuation allowances are established when necessary to reduce deferred tax assets to the amount expected to be realized.

10. REMUNERATION TO MANAGERIAL PERSON OF HOLDING COMPANY

A: To Manager

	1 st April, 2005 to 31 st March, 2006	1 st April, 2004 to 31 st March, 2005
Salary and Allowances	4,326,268	3,074,409
Contribution to Provident Fund (& others)	162,000	121,500
Perquisites	-	65,767
	4,488,368	3,261,676

B: To Non Executive Director

	1 st April, 2005 to 31 st March, 2006	1 st April, 2004 to 31 st March, 2005
Remuneration to Non-Executive Directors	539,597	217,264
	539,597	217,264

The above remuneration has been approved by the Central Government.

11. LEASES

Operating Leases

Operational Leases are charged to revenue.

The company rents certain premises and equipments under operating lease arrangements. These leases have renewal operation with a maximum escalation of 15% with other terms and conditions remaining the same.

The future minimum rental payments under non cancelable operating leases are as follows:

	As at 31 st March, 2006 Rs.	As at 31 st March, 2005 Rs.
(i) Not later than one year	28,112,549	9,824,206
(ii) later than one year and not later than five years	68,563,792	889,497
(iii) later than five years	Nil	Nil

The leases rentals (including maintenance cost of Rs 48,000 /-)[Previous Period Rs. 48,000/-] recognized in the accounts for the year is Rs. 22,746,774/-[Previous Period Rs 13,774,490/-].

12. RELATED PARTIES

Details of Related parties where controls exists is as under:

a) Holding Company

- Transcompany Limited - Ultimate Holding Company
- Vanguard Investments Ltd - Intermediary Holding Company
- Mindteck Holdings Ltd., - Intermediary Holding Company
- Business Holdings Ltd, - Intermediary Holding Company
- Garrington Investments Ltd, - Intermediary Holding Company
- Embtech Holdings Ltd, - Holding Company

b) Fellow Subsidiaries

- Mindteck UK Ltd
- Mindteck Singapore Pte Ltd
- Mindteck Kabushiki Kaisha

- Syncsoft Inc
- Infotech Ventures Ltd, BVI

c) Key Managerial Personnel

- P A Ananthanarayanan – Manager/CEO

(Amount in Rs.)

Transactions With Related Parties	Subsidiaries		Fellow Subsidiaries		Holding Company		Key Management Personnel		Total	
	31.03.06	31.03.05	31.03.06	31.03.05	31.03.06	31.03.05	31.03.06	31.03.05	31.03.06	31.03.05
Sales	-	-	3,471,309	98,058,694	-	-	-	-	3,471,309	98,058,694
Expenses/ Reimbursement of Exp	-	-	828,087	231,076	433,343	-	-	-	1,261,430	231,076
Managerial Remuneration	-	-	-	-	-	-	4,488,368	3,261,676	4,488,368	3,261,676
Outstanding Balance:										
Due From										
- Receivables			6,084,774	87,981,581					6,084,774	87,981,581
- Advances	11,155,000		31,941,072						43,096,072	-
Due to										
- Payables	-	-	1,781,061	158,805	26,860,343	-	-	-	28,641,404	158,805
- Loans	-	-	-	-	5,199,475	-	-	-	5,199,475	-

Transactions with Related Parties

13. SEGMENT REPORTING

The Company is engaged in providing Software Services globally and is considered to constitute a single segment in the context of AS-17 on “Segment Reporting” issued by The Institute of Chartered Accountants of India. Geographical Segments constitutes the Secondary Segment of the Company

The Details of secondary segment of the company is as follows :

	31-03-2006 (12 months) Rs.	31-03-2005 (12 months) Rs.
Revenue		
- USA	420,304,101	332,397,304
- Others	17,995,743	14,433,487
	438,299,844	346,830,791

The details of provisions under AS 29 are as under

Sl No	Nature of Expense	Expected period of outflow	Opening Balance as on 01.04.2005	Additions	Utilised/ reversal	Closing Balance as on 31.03.2006
1	Leave Encashment	-	1,629,293	2,279,750	876,156	3,032,287

14. Disclosure on Derivative Instruments

- a) Forward Exchange contracts, which are not intended for trading or speculative purposes, but for hedge purposes, to establish the amount of reporting currency required or available at the settlement date of certain payables and receivables, outstanding as on 31st March, 2006 are given below:

No. Of contracts	Nature of hedge Buy/Sell	Currency	Amount (foreign currency)	Cross Currency	Amount
-	-	-	-	-	-

- b) Foreign Currency exposures as at March 31, 2006, that have not been hedged by a derivative instrument or otherwise:

Particulars	Amount (Rs)	Amount (foreign currency)
Due from:		
Debtors against export of services / goods	(i) 62,664,841	(i) USD 1,404,411
	(ii) 2,035,217	(ii) GBP 26,232
Due to:		
- Creditors against import of goods and services (including for capital goods)	(i) 389,851	(i) SGD 14,275

The above disclosures have been made consequent to an announcement by the institute of Chartered Accountants of India in December 2005, which is applicable to the financial periods ending on or 31st March 2006 and hence no comparative figures given.

- 15.** Previous Periods figures have been regrouped/ reclassified to conform with the current grouping/ classification.

Signature to Schedule 1 to 17

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place: Bangalore
Date: June 26, 2006

For and on behalf of the Board

K V Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Place: Bangalore
Date: June 26, 2006

P A Ananthanarayanan
Chief Executive Officer

P. Vidya Sagar
Company Secretary

Subrata Nag
Finance Controller

CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31st 2006

	For the Year ended 31-03-2006 Rupees	For the Year ended 31-03-2005 Rupees
CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit / (Loss) before taxation and extraordinary items	20,261,906	15,096,776
ADJUSTMENTS FOR		
Depreciation	9,433,891	7,551,957
Exchange Difference on conversion	5,589,183	(143,399)
Interest and Financial Charges	5,235,236	4,369,974
Excess Provision Written back	(5,112,070)	(996,756)
Net Loss on sale of Assets	224,094	594,355
Foreign Exchange	1,003,891	1,670,755
Miscellaneous Expenditure Written off	183,351	183,352
Bad Debts Written Off	915,507	50,070
Interest Income	(814,818)	(1,241,716)
	16,658,265	12,038,593
	36,920,171	27,135,369
Operating Profit before Working Capital changes		
ADJUSTMENTS FOR		
Trade and other receivables	31,412,998	(8,368,496)
Trade Payables	102,592,559	(4,377,057)
	134,005,557	(12,745,554)
	170,925,728	14,389,816
Cash generated from Operations		
Foreign Exchange	(1,003,891)	(1,670,755)
Income Taxes Paid	(2,341,934)	(397,224)
	(3,345,825)	(2,067,979)
Net Cash from operating activities	167,579,903	12,321,837
CASH FLOW FROM INVESTING ACTIVITIES		
Fixed Assets - Sold	110,000	(162,897)
Fixed Assets - Purchased	(16,650,342)	(3,967,955)
Expenditure incurred on acquisition	(143,882,335)	-
Exchange Difference on conversion	(4,189,549)	143,399
Interest received	1,094,960	1,637,421
	(163,517,266)	(2,350,032)
Net cash used in investing activities	(163,517,266)	(2,350,032)
CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from :		
Interest Paid	(5,235,236)	(4,369,974)
Short Term Borrowings	8,393,332	(16,075,390)
Dividend Payout and Corporate Tax Paid	(6,533,221)	(1,707)
Net cash used in Financing activities	(3,375,125)	(20,447,071)
Net Increase / (Decrease) in cash	687,512	(10,475,266)
Cash and Bank Balance as on 1st April,2005 (Opening Balance)	24,870,348	35,345,614
Cash and Bank Balance as on 31st Mar, 2006 (Closing Balance)	25,557,860	24,870,348.17624

Note

- 1) The above cash flow statement has been prepared under the indirect method as set out in the Accounting Standard 3 on cash flow statement issued by ICAI
- 2) Cash & Cash equivalent include balances with Scheduled Banks on Dividend Accounts of Rs 304,273/- and Fixed Deposits of Rs. 5,000,000/- pledged for secured loans, which are not available for use by the Company.
- 3) Cash and Cash Equivalents at the year end includes (Rs 5,794/-) [Previous Year (Rs 300/-)] on account of restatement of foreign currency balances.

As per our report of even date

For and on behalf of the Board

For DELOITTE HASKINS & SELLS
Chartered Accountants

K V Aiyappan
Chairman

P A Ananthanarayanan
Chief Executive Officer

S Ganesh
Partner

M. G. Ved
Director

P Vidya Sagar
Company Secretary

Satish Menon
Director

Subrata Nag
Finance Controller

Place: Bangalore
Date: June 26, 2006

Place: Bangalore
Date: June 26, 2006

Statement pursuant to Section 212 of the Companies Act, 1956 relating to Subsidiary Companies

1 Name of the Subsidiary	: Mindteck USA Inc. (Formerly Mindteck Consulting Inc)	Mindteck Middle East SOC	Mindteck Software Malaysia SND BHD	Mindteck BPO Services Pvt Ltd
2 Financial year of the subsidiary ended on	: 31st March 2006	31st March 2006	31st March 2006	31st March 2006
3 Date from which it became a subsidiary	: 01st July 2001	12th July 2005	22nd December 2005	21st February, 2006
4 Shares of the Subsidiary held by the Company on the above date				
a) Number and Face Value	: 433 Shares at No Par Value at \$5000 each	500 Shares of BD 100 Par Value each	250,000 Shares of RM 1 Par Value each	50,000 Shares of Rs 10 Par Value each
b) Extent of Holding	: 100%	100%	100%	100%
5 Net aggregating amount of profits/(losses) of the subsidiary for the above financial year of the subsidiary so far as they concern members of the Company				
a) dealt with in the accounts of the Company for the year ended 31st March 2006	: NIL	NIL	NIL	NIL
b) not dealt with in the accounts of the Company for the year ended 31st March 2006	: Profit Rs 87.42 Lakhs	Loss Rs 25.64 Lakhs	Loss Rs 1.20 Lakhs	Loss Rs 0.18 Lakhs
6 Net aggregating amount of profits/(losses) for the previous financial years of the subsidiary, since it became a subsidiary so far as they concern members of the Company				
a) dealt with in the accounts of the Company for the year ended 31st March 2006	: NIL	NIL	NIL	NIL
b) not dealt with in the accounts of the Company for the year ended 31st March 2006	: Loss Rs 986.70 Lakhs	-	-	-

K V Aiyappan
Chairman

Satish Menon
Director

M G Ved
Director

P A Ananthanarayanan
Chief Operating Officer

Subrata Nag
Finance Controller

P Vidya Sagar
Company Secretary

Place: Bangalore
Date: June 26, 2006

Place: Bangalore
Date: June 26, 2006

Statement pursuant to Section 212 of the Companies Act, 1956 relating to Subsidiary Companies

Name of the Subsidiary Company	Issued and Subscribed Share Capital	Reserves	Loans	Total Assets	Total Liabilities	Investments		Turnover	Profit/(Loss) Before Taxation	Provision for Taxation	Profit/(Loss) After Taxation	Proposed Dividend
						Long Term	Current					
Mindteck USA Inc (Formerly Mindteck Consulting Inc.)	1445.02	(634.55)	1,119.50	1929.97	1929.97	-	-	3,932.01	92.69	5.27	87.42	123.60
Mindteck Middle East SOC	57.51	-148.77	60.88	-30.38	-30.38	-	-	55.79	(25.64)	-	(25.64)	-
Mindteck Software Malaysia SND BHD	30.16	(1.20)	-	28.96	28.96	-	-	-	(1.20)	-	(1.20)	-
Mindteck BPO Services Pvt Ltd	5.00	(0.17)	-	4.83	4.83	-	-	-	(0.17)	-	(0.17)	-

K V Aiyappan
Chairman

Satish Menon
Director

M G Ved
Director

P A Ananthanarayanan
Chief Operating Officer

Subrata Nag
Finance Controller

P Vidya Sagar
Company Secretary

Place: Bangalore
Date: June 26, 2006

Place: Bangalore
Date: June 26, 2006

NOTICE

NOTICE is hereby given that the Fifteenth Annual General Meeting of Mindteck (India) Limited will be held on Monday, August 28, 2006 at 4.00 P.M. at HAL Convention Centre, Next to HAL Heritage Centre & Aerospace Museum, Post Marathahalli, Bangalore 560 037 to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the Audited Balance Sheet as on March 31, 2006 and Profit & Loss Account for the financial year ended on that date together with the Reports of the Directors and Auditors thereon.
2. To declare a dividend on the Equity Share Capital of the Company for the financial year ended March 31, 2006.
3. To appoint a Director in place of Mr. M.G. Ved, who retires by rotation and being eligible, offers himself for re-appointment.
4. To appoint Auditors to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorise Board of Directors to fix their remuneration.

By Order of the Board
for Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

June 26, 2006
Registered Office:
501, Cyber Park,
Electronics City – 1,
Bangalore 560100.

NOTES:

1. A MEMBER ENTITLED TO ATTEND AND VOTE AT THE MEETING IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND SUCH PROXY NEED NOT BE A MEMBER OF THE COMPANY.
2. THE INSTRUMENT APPOINTING PROXY SHOULD HOWEVER BE DEPOSITED AT THE REGISTERED OFFICE OF THE COMPANY NOT LESS THAN FORTY-EIGHT HOURS BEFORE THE COMMENCEMENT OF THE MEETING.
3. The Register of Members and Share transfer Books shall remain closed from August 11, 2006 to August 28, 2006 (both days inclusive) for the purpose of Annual General Meeting.
4. Dividend if declared, will be paid to those Members whose names appear on the Company's Register of Members as on August 28, 2006 subject however to the provisions of Section 206A of the Companies Act, 1956. In respect of shares held in electronic form, dividend will be payable on the basis of ownership as per details furnished by NSDL and CDSL for this purpose.

5. Members (those holding shares in the physical form only) are requested to intimate change of address, if any, to the Company's Registrars, Mondkar Computers Pvt. Ltd. at 21, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.
6. Members desiring any information relating to the Company's Accounts are requested to write to the Company at an early date so as to enable the Management to keep the information ready.
7. A blank Attendance Slip is annexed to the Proxy Form. Members are requested to fill up the particulars of the attendance slip, affix their signature in the appropriate place and hand it over to the Company's officials/ Registrars at the entrance of the Meeting venue.

ANNEXURE TO THE NOTICE

Information pursuant to Clause 49 of the Listing Agreement regarding re-appointment of director as per Item No. 3 of the Notice

Mr. M. G. Ved, an independent, non-executive director of the Company is a practising Chartered Accountant and with his vast experience in the fields of auditing, finance, accounts & taxation, is of immense value to the Company's Board.

Mr. M.G. Ved is on the board of the following companies as non-executive director:

Telesis Management Services Private Limited
Saurabh Digital Devices & Circuits Private Limited

He is also a member of the Audit Committee, HR & Compensation Committee and Shareholders/Investors Grievance Committee of Mindteck (India) Ltd.

By Order of the Board
for Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

June 26, 2006
Registered Office:
501, Cyber Park,
Electronics City – 1,
Bangalore 560100

MINDTECK (INDIA) LIMITED

Regd. Office: # 501, Cyber Park, Electronics City – 1, Bangalore 560100

ATTENDANCE SLIP

PLEASE COMPLETE THIS ATTENDANCE SLIP IN ALL RESPECTS AND
HAND IT OVER AT THE ENTRANCE OF THE MEETING HALL

REGD. FOLIO NO./CLIENT ID:
DP ID NO:
NAME:
ADDRESS:

I hereby record my presence at the Fifteenth Annual General Meeting of the Company.

Venue: HAL Convention Centre, Next to HAL Heritage Centre & Aerospace Museum, Post Marathahalli,
Bangalore - 560 037.

Date: Monday, August 28, 2006 at 4.00 P.M.

NAME OF THE SHAREHOLDER (IN BLOCK CAPITALS)	SIGNATURE OF THE SHAREHOLDER OR PROXY

Note:

1. A Proxy attending on behalf of the Member(s) shall write the name of the Member(s) from whom he holds Proxy.
2. Members are requested to bring their copy of the Annual Report with them to the Meeting as additional copies of the same will not be made available at the Meeting.

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MINDTECK (INDIA) LIMITED

Regd. Office: # 501, Cyber Park, Electronics City – 1, Bangalore 560100

PROXY FORM

I/We of in the district of being a Member/Members of the above named Company, hereby appoint Mr./Mrs..... of in the district of or failing him/her, Mr./Mrs..... of in the district of as my/our proxy to attend and vote for me/us on my/our behalf at the Fifteenth Annual General Meeting of the Company to be held on Monday, August 28, 2006 and at any adjournment thereof.

Signed this day of 2006.

Reg. Folio / Client ID No. :
DP ID No. :
No. of shares :

Signature _____

Affix
Re. One
Revenue
Stamp

Note : The proxy form duly signed across the revenue stamp of One Rupee must reach the Company's Registered Office not less than 48 hours before the time of the meeting.

Mindshots

Glimpses into the colourful life at Mindteck



USA

California

39899 Balentine Dr., Suite 175 Newark,
CA 94560

New Jersey

Aspen Corporate Park, 1460, Route 9
North, Suite 201, Woodbridge,
NJ 07095

Texas

- ▶ Suite 2130, 440 Benmar Drive,
Houston, TX 77060
- ▶ ISS Consultants Inc., 13111
Westheimer, Suite 303, Houston,
TX 77077

North Carolina

#2321, Sterling Green Drive, Morrisville,
NC 27560

Bahrain

3rd Floor, Sehl Centre, Diplomatic Area,
PO Box 10795, Manama,
Kingdom of Bahrain

India

Bangalore

Mindteck (India) Limited, 501,
Cyber Park, Electronics City - 1,
Bangalore 560 100

Kolkata

Millennium City Information Technology
Park, Unit:T-2 9C, Tower II, Level IX, Plot
No: 62, Block DN, Sector V, Salt Lake,
Kolkata - 700091

Telephone: (33) 2367-4337/8

Tele Fax : (33) 2367-4336

Malaysia

Mindteck Software Malaysia Sdn Bhd, C-
15-1, Level 15 Tower C, Megan Avenue
2, 12, Jalan Yap Kwan Seng, Kuala
Lumpur - 50450

www.mindteck.com